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July 1, 1999

To: Members of the Executive Board

From: The Secretary

Subject: **Senegal—Request for Second Annual Arrangement Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is a request from Senegal for the second annual arrangement under the Enhanced Structural Adjustment Facility. A draft decision appears on page 21. This subject, together with the policy framework paper for Senegal (EBD/99/78, 7/1/99), is tentatively scheduled for discussion on Monday, July 12, 1999.

Mr. Diogo (ext. 36521) or Mr. van den Boogaerde (ext. 38427) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Monday, July 12, 1999; and to the African Development Bank, the European Commission, the Islamic Development Bank, and the West African Economic and Monetary Union, following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

SENEGAL

**Request for Second Annual Arrangement Under the
Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and
Exchange Affairs, Policy Development and Review,
Statistics, and Treasurer's Departments)

Approved by G.E. Gondwe and Jesús Seade

July 1, 1999

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EXECUTIVE SUMMARY

Performance under the 1998 program and recent developments

- During the first annual program supported by a new three-year ESAF arrangement, Senegal has maintained the sound macroeconomic policy stance adopted during the previous three-year program and implemented the medium-term reform strategy in a broadly satisfactory manner.
- Economic performance in 1998 has been good, with strong real GDP growth, lower inflation and a reduction in the external current account deficit relative to GDP. Fiscal policies were in line with the program and progress was made in some areas of structural reforms, although delays were encountered on some other areas. The first step towards the regional Common External Tariff and the liberalization of petroleum product import and pricing were successfully implemented in April 1998. Five of the thirteen enterprises scheduled for privatization in 1998 were sold; and after some delays, SENELEC, the electricity company, will now be privatized in 1999.

The 1999/2000 program

- Helped by a recovery in agricultural output, real GDP growth is projected to reach 6.4 percent in 1999 compared to 5.7 percent in 1998, inflation is expected to be limited to 2 percent, and the external current account deficit (excluding official transfers and after debt relief) is projected to be little changed from the 1998 deficit of 6.8 percent of GDP.

Senegal: Selected Economic and Financial Indicators, 1997-2001

	1997 Prel.	1998 Prog.	Est.	1999 Prog.	2000 Program	2001
	(Annual percentage change)					
Real GDP	5.0	5.7	5.7	6.4	6.0	6.0
Consumer price index (average)	1.8	2.4	1.1	2.0	2.0	2.0
Broad money	7.3	8.1	8.6	9.2	...	...
	(In percent of GDP)					
Gross domestic investment	17.3	19.8	18.1	19.7	19.9	20.0
Basic fiscal balance	2.7	1.3	2.6	1.7	1.5	2.3
Overall fiscal balance						
(excluding grants)	-2.0	-2.0	-3.3	-4.4	-3.4	-2.6
(including grants)	0.5	-0.3	-0.3	-1.9	-1.3	-0.6
External current account						
balance (excluding official transfers)	-7.8	-7.7	-6.8	-7.0	-6.3	-5.8
(including official transfers)	-1.6	-2.3	-1.7	-2.7	-2.6	-2.4

Sources: Senegalese authorities; and Fund staff estimates and projections.

- The original budget for 1999 has been modified through a supplementary budget (introduced in June 1999) to use privatization receipts for investment and domestic debt reduction during 1999 and 2000. This is broadly in line with previous understandings and consistent with the program's original path of fiscal consolidation.
- The Common External Tariff (CET) of the West African Economic and Monetary Union (WAEMU) will be fully implemented on January 1, 2000. The top tariff of 25 percent will be reduced to 20 percent and the 5 percent customs stamp duty will be replaced by a 1 percent statistical tax. To offset the revenue losses, Senegal will replace the current two rates of VAT with a single rate of 18 percent, effective July 1, 2000. In addition, an end-use tariff discounting mechanism on industrial inputs (*précisions tarifaires*), a distorting instrument for effective protection, will be eliminated.
- The program of privatization and restructuring of publicly-owned enterprises will be completed by end-2000. Thirteen enterprises are scheduled to be sold and/or restructured in 1999 and a further five in 2000. Improvements in the environment for the private sector will include the implementation of the key recommendations of a recent Foreign Investment Advisory Service (FIAS) report; the adoption of the regional business laws under the OHADA treaty; and improvements in the administration of the rule of law. The latter is also part of the program for improving governance in Senegal. Other elements will include completion of a transparent audit of an off-budget fund, the *Fonds de Promotion Economique* (FPE) and an action plan to combat customs fraud.

Issues emphasized in the staff appraisal

- The continued pursuit of fiscal consolidation and the maintenance of macroeconomic stability compatible with the peg of the CFA franc to the euro are the foundations of the adjustment program in Senegal. To secure further trade liberalization, the CET should be implemented in full and on time, together with the elimination of the *précisions tarifaires* and the adoption of WTO-consistent WAEMU decisions on reference values and surcharges. Rice import taxation should be reformed. The CET-induced reduction in tariff revenue should be fully recovered through the single rate of VAT, with a minimal number of products being exempt.
- The acceleration of structural reforms, in particular with respect to the privatization program and the strengthening of the judicial system, and the forceful promotion of governance and transparency issues, should be sustained in order to bolster private sector confidence and investment.
- Decisive implementation of sectoral policies, in particular the liberalization of the energy and transport sectors, and in the areas of development of human resources, especially in education, health and the provision of rural infrastructure, will also be essential for promoting growth and reducing poverty.

I. INTRODUCTION

1. Senegal has successfully implemented the macroeconomic and structural reform program supported by the first annual arrangement under the current three-year arrangement under the Enhanced Structural Adjustment Facility (ESAF). The arrangement approved on April 20, 1998 is in an amount equivalent to SDR 107.01 million (66.1 percent of quota). In the attached letter and memorandum dated June 4, 1999 (Appendix I, Annex), the Minister of Economy, Finance, and Planning requests the second annual arrangement under the ESAF, in an amount equivalent to SDR 35.67 million (22 percent of quota).¹ This request is in support of the policies and measures outlined in Senegal's Memorandum of Economic and Financial Policies for 1999–2000 (Appendix I, Annex), based on the policy framework paper (PFP) for 1999–2001 (EBD/99/78, 7/1/99). The PFP was prepared by the authorities in close collaboration with the staffs of the Fund and the World Bank.

2. The policies aim at strengthening financial viability while reducing the structural rigidities that have hampered growth in the past. The new program falls under the new ESAF architecture approved by the Executive Board in September 1998; it provides for two reviews and a revised phasing of disbursements. If the planned disbursements under the arrangement and all repurchases and loan repayments are made as scheduled, Senegal's use of Fund resources would increase from SDR 200.9 million (124.6 percent of quota) on March 31, 1999 to SDR 217.1 million (134.2 percent of quota) by December 31, 2001 (Tables 1 and 2). Senegal's relations with the Fund are summarized in Appendix II.

3. The World Bank has been supporting Senegal's development efforts through structural and sectoral adjustment lending. The current portfolio consists of 18 operations, including an agricultural sector project and a transport loan approved in FY 1999. A public expenditure review focusing on the education, health, and judicial sectors was completed in 1998 and its recommendations are being implemented. The International Finance Corporation is involved in six investment projects in Senegal, in the areas of manufacturing and financial sector development. A Consultative Group meeting held in April 1998 secured donor support for the

¹Following a preparatory staff visit in February 1999, discussions with the authorities on this request were held in Dakar during the period April 26–May 10, 1999; they were completed in Washington D.C. during the period June 1–4, 1999. The Senegalese representatives included Mr. Diagne, Minister of Economy, Finance, and Planning; Mrs. N'Diaye, the Minister Delegate in charge of the budget; Mr. N'Diaye, the National Director of the Central Bank of West African States (BCEAO); and other senior officials. Prime Minister Loum also received the mission. The staff representatives were Mr. Diogo (head), Mr. van den Boogaerde, Mr. Henstridge (all AFR), Mr. Chami (PDR), Ms. Simard (FAD), and Ms. Niaré (assistant-AFR). Mr. Dessart, the Fund's Senior Resident Representative in Senegal, assisted the mission. Mr. Konan, Advisor to the Executive Director, participated in most of the policy discussions. A parallel World Bank team participated in discussions on issues of common interest.

period 1998–2000 in the amount of US\$2 billion. Senegal's relations with the World Bank Group are summarized in Appendix III.

4. **Senegal's economic database** is fairly comprehensive, although weaknesses remain with regard to coverage and internal consistency, in particular with regard to the national accounts, and in data on industrial production, international trade, and the balance of payments. The authorities have requested technical assistance from the Fund to improve the national accounts and to assess current practices in the area of budget forecasting. Although weaknesses in data collection and compilation have not prevented a meaningful assessment of economic policies, and the core minimum data have regularly been provided to the Fund, the analysis of current developments is sometimes hampered by the poor quality and timeliness of some data. The state of preparedness on the **Y2K issue** is progressing rather slowly and much of the information that is required has not yet been processed. The scheduled dates for testing most computer systems will leave little time for contingency plans, if needed.

5. Following parliamentary **elections** in 1998, indirect elections for the newly created Senate were held in January 1999. The incumbent *Parti Socialiste* won all of the 48 elected seats; 12 seats were filled by Presidential nominees, two of whom are representatives of the opposition. Presidential elections are scheduled for early 2000. Insecurity continues to prevail in the southern province of Casamance. Senegalese troops had been dispatched to Guinea-Bissau earlier in the year in an effort to foil a coup d'état, but have since been withdrawn. The social climate is calm overall, but a general strike, calling for a general wage increase, tax cuts, lowering of the retirement age, and the establishment of a nationwide health insurance fund, brought most economic activities to a halt for two days in late June 1999.

II. PERFORMANCE UNDER THE FIRST ANNUAL ARRANGEMENT UNDER ESAF AND RECENT DEVELOPMENTS

6. **Senegal's economy continues to perform well.** Real GDP is estimated to have grown by slightly less than 6 percent in 1998 despite a decline in agriculture. Growth was boosted by a sharp increase in peanut oil milling and a generally strong expansion in the tertiary sector. Consumer price inflation was below 1 percent at end-1998, and near zero so far into 1999 (Figure 1 and Table 3). The real effective exchange value of the CFA franc at end-May 1999 was 30 percent below its level at end-1993, indicating that most of the competitiveness gain from the 1994 CFA franc devaluation has been preserved (Figure 2). The **external current account deficit** (excluding official transfers) was lower than program projections, with interest payments on rescheduled debt lower than expected (Table 8). Both exports and imports were below projected levels. Capital inflows, including foreign direct investment, were somewhat above expectations, leading to a modest accumulation of net foreign assets with the BCEAO.

7. In the **fiscal area**, the basic fiscal surplus² was little changed from 1997 (2.7 percent of GDP) and the overall deficit (on a commitment basis and excluding grants),³ on the basis of a new and more comprehensive definition of public investment outlays,⁴ widened to 3.3 percent of GDP in 1998 (Tables 5 and 6). Total government revenue⁵ relative to GDP was little changed from 1997. On the expenditure side, total outlays increased by one percentage point to 19.9 percent of GDP in 1998, due to increases in investment outlays and net lending. Budgetary allocations for the health and education sectors increased from about one-third of total current spending in 1997 to 36 percent in 1998, and the share in capital spending increased by 3 percentage points to close to 15 percent in 1998. The government used part of the proceeds from the sale of the government's share in SONATEL to eliminate outstanding extra-budgetary arrears, to increase investment spending in the social sectors, and to further reduce its indebtedness to the banking system in 1998. The main fiscal measures implemented during this period are presented in Box 1.

Box 1. Fiscal measures

1. Measures implemented in 1998 and those included in the 1999 finance law:

- An initial round of tariff reductions as part of the first phase of WAEMU's common external tariff (CET) (April 1998);
- Revision in the taxation of petroleum products as part of the liberalization of that sector with, notably, the replacement of the petroleum price stabilization scheme by excise taxes (May 1998);
- Streamlining of the end-use tariff discounting system for industrial inputs known as *précisions tarifaires* with the result that the c.i.f. values of imports covered in 1998 was about one-half the c.i.f. values in 1997 (the ratio of imports covered by the *précisions tarifaires* to total imports fell from 32 percent in 1997 to 17 percent in 1998) (April 1998);
- Introduction of the WAEMU's harmonized tariff classification (except for 150 tariff lines for which Senegal has lodged reservations with the WAEMU Commission and the *précisions tarifaires*);
- Increase in the duty rebate on imports of industrial goods processed within WAEMU countries from 60 to 80 percent; and
- Slight reduction in income taxes on lower scale salaries.

2. Pending reforms:

- The reduction of taxation on the Société Africaine de Raffinage's (SAR) refining operations remains anti-competitive and represents undue foregone revenue; and
- The opaque rice taxation system, including a surtax on whole grain rice and a variable levy on broken rice, which has given rise to over invoicing, is still in place.

²Defined throughout the text as total revenue (excluding grants) minus total expenditure and net lending, excluding externally financed capital expenditure.

³Unless otherwise indicated, the overall deficit is so defined throughout the paper.

⁴Following progress made in the collection of data previously not reported by donors, data on foreign-financed investment expenditures in the tables on government financial operations now include investment projects directly financed and executed by donors. The data available covers the period 1994-98 and their inclusion in the fiscal accounts raised the ratio of the overall deficit (excluding grants) on average by 1.3 percentage points of GDP during this period. On the basis of the former narrow definition of investment, the overall deficit was below the target for 1998.

⁵ Excluding privatization proceeds which are classified as financing.

8. **Monetary policy is conducted at the regional level by the Central Bank of the West African States (BCEAO)** in line with the fixed exchange rate between the CFA franc and the Euro. For Senegal, the growth in broad money in 1998 was estimated at 8.6 percent, net credit to the Government fell slightly and credit to the economy grew by 11 percent, in line with program projections (Table 7). A review of the state of the banking system (see Box 2) indicates that it is broadly sound. Compliance with the prudential ratios of the regional *Commission Bancaire* continues to improve, with most banks observing the key ratios, though the high rate of insider lending at one bank remains a source of concern. Increased provisioning has lowered the exposure to non-performing loans over the last two years, but further reductions will be required. The *Banque S n galo-Tunisienne* (BST), which had a negative net worth, was re-capitalized and privatized in March, 1999.

9. **Senegal has successfully negotiated agreements with nearly all Paris Club bilateral creditors** in line with the provisions of the **stock-of-debt reduction operation** of June 1998. Debt service is now estimated to be much less than originally envisaged, both as a share of exports of goods and non-factor services and as a share of budgetary revenue, given the decline in interest rates in most creditor countries.⁶ The Senegalese authorities have initiated discussions with other bilateral creditors with the view to secure a treatment at least as favorable as the Naples terms granted by Paris Club creditors. Senegal's stock of external public debt was assessed to be sustainable at the decision point in April 1998 under the HIPC Initiative.⁷ The stock of debt stood at the equivalent of 69 percent of GDP (US\$2 billion) at end-1998, down from 73 percent at end-1997. Following the settlement of all past extra budgetary arrears and the payment of current debt maturities, gross domestic public debt outstanding was reduced from 13.7 percent of GDP at end-1997 to 11.4 percent of GDP at end-1998.

⁶The ratio of debt service to exports fell from 17.6 percent in 1997 to 11.1 percent in 1998, much more rapidly than expected.

⁷For details, see EBS/98/68 (April 6, 1998), Appendix II.

Box 2. Senegal: Commercial Banking System's Soundness

Senegal has nine commercial banks and five non-bank financial institutions. There are no ceilings on credit and on lending rates except for a legal provision for a usury rate, but there is a minimum interest rate on passbook savings deposits. The supervision of the non-bank financial institutions uses a set of prudential norms and is the responsibility of the ministry of finance.

The evolution of the observance of the banks, taken collectively, to the key prudential ratios of the regional WAMU Banking Commission is summarized below. All banks—with the exception of the *Banque Sénégal-Tunisienne* (BST)—have met the capital adequacy ratio of 4 percent for the last three years. But on the basis of end-1998 estimates, only about half the banks would have met the Basle standard of 8 percent had it been in force. Before its recent privatization, the BST did not meet any of the ratios shown below (except on one occasion), and hence accounts for most of the non-compliance shown in the table. In addition to the BST, at end-1998, one bank did not meet the 'liquidity ratio' (the minimum of 60 percent of short-term assets being covered by short-term liabilities). Of these key prudential ratios, the other significant breach is of the insider-lending ratio, though all the relevant assets are fully collateralized and are performing. The commercial bank concerned has been subjected to the initial disciplinary procedures of the Banking Commission and is in the process of remedying the situation, principally by reducing the magnitude of these assets.

The level of non-performing assets—which, net of provisioning, have declined to the equivalent of 8 percent of total credit compared to an average of 10 percent in 1997—remains a potential source of concern, though not being overly concentrated in only a few banks reduces the systematic risk. Part of the reason for persistence in the magnitude of non-performing assets is the difficulties in foreclosing loans and recovering the collateral. The reforms to business law under the OHADA, and improvements in the procedures for recovery (discussed in the PFP) will help ameliorate this source of fragility.

The BST was placed under administration in January 1999 and privatized in March. The re-capitalization was CFAF 3.9 billion, which was raised through the sale of the capital to a new owner (CFAF 0.7 billion), securitization of CFAF 3.2 billion of frozen government assets, of which CFAF 1.8 billion fell due in March 1999, and CFAF 1.4 billion, carrying a rate of 4.5 percent, is of a ten-year maturity.

Observance of the Key Prudential Ratios of the WAMU Banking Commission.

	1994	1995	1996	1997	1998
	(Number of banks not observing required ratio)				
Minimum Capital Requirement (CFAF 1 bn.)	2	1	1	1	1
Capital Adequacy Ratio (min. 4%)	1	1	1	1	1
Liquidity Ratio (min. 60%)	1	3	3	3	2
Insider Lending (max. 20%)	...	...	1	2	1
Total Number of banks	9	9	9	9	9

10. Progress on structural reforms has been made in several areas, but there were some delays in implementing a number of measures, notably in the privatization of certain enterprises, the reform of the National Retirement Fund (FNR), and the adoption of a merit-based promotion system in the civil service (see Box 3).

Box 3. Senegal: Progress in Structural Reforms (1998–March 1999)		
Measures	Original Deadlines	Status
- First phase of the reduction in tariffs in the context of WAEMU's CET - Reform of petroleum product marketing and pricing - Elimination of SENELEC arrears vis-à-vis the petroleum distributors for the delivery of oil products - Privatization - Urban transportation company SOTRAC - Groundnut company SONACOS - Electricity company SENELEC - Air Senegal - Action plan to strengthen the national retirement fund FNR - Merit system for promotion in the civil service - First phase of the consumer survey on the quality of public service - Planned improvements in investment programming, implementation of the recommendations of the public expenditure reviews, and reform of the judiciary.	April 1998	Implemented in April 1998
	April 1998	Implemented in May 1998
	December 1998	SENELEC continued to accumulate significant arrears. The distributors deducted these arrears from their bills to the national refinery SAR, which in turn accumulated about CFAF 7.2 billion (0.2 percent of GDP) in tax arrears by end-March 1999. These will be settled during 1999 under the new program
	December 1998	Five out of 13 enterprises targeted for privatization were sold or liquidated in 1998
	December 1998	Liquidated in November 1998 and its activities are scheduled to be taken over by a private company in 1999
	August 1998	Call for bids launched in February 1999
	August 1998	Strategic private partner selected in late February 1999 and has assumed full management. Some additional government shares (25 percent of the share capital) will be sold by November 1999.
	June 1999	Buyer selected in March 1999 and will start operating in June 1999.
	December 1998	Has not been completed because of protracted negotiations with labor unions on the need to increase workers' contributions; will be implemented in 2000.
	December 1998	Delayed because of lengthy discussions with the social partners on the grading system; will be implemented in 2000
	April 1998	Completed at end-1998
	January 1999	Some delays; to be completed in 1999 under the new program

III. MEDIUM-TERM ADJUSTMENT STRATEGY AND THE PROGRAM FOR 1999–2000

A. Strategy and Objectives for 1999–2001

11. The key objective of the Government's medium-term strategy is to achieve higher growth by raising investment rates and productivity. This will require macroeconomic stability, external viability, and an acceleration of structural reforms. The main areas in the structural reform program are: (a) completion of the public enterprise privatization and

restructuring program by end-2000; (b) continued reform of the agricultural, water, transport, and energy sectors; (c) improvement of the environment for the private sector and promotion of investment; and (d) implementation of a program on good governance. These policies will be supplemented with a comprehensive social program centered on directly improving education and health services, including well-targeted poverty reduction programs. These reforms are spelled out in the updated Policy Framework Paper (PFP) for 1999–2001.

12. The program for 1999–2001 seeks to raise real GDP growth from 5.7 percent in 1998 to 6½ percent in 1999 and 6 percent in 2000 and 2001 (Table 4), with investment rising from 18 percent of GDP in 1998 to an average of about 20 percent in 1999–2001. At the same time, domestic savings are programmed to increase from 12 percent of GDP in 1998 to about 14 percent of GDP in 1999, and 15 percent in 2001. Annual inflation is to be held at around 2 percent and the external current account deficit (excluding official transfers) is expected to narrow to less than 6 percent of GDP in 2001. The main medium-term macroeconomic indicators are presented in Box 4.

Box 4. Senegal: Main Medium-Term Macroeconomic Indicators, 1998–2001				
	1998	1999 Prog.	2000 Projections	2001 Projections
	(In percent of GDP, unless otherwise indicated)			
GDP (annual percentage growth)	5.7	6.4	6.0	6.0
Nonagricultural GDP (annual percentage growth)	7.1	5.8	6.0	6.1
Gross domestic investment	18.1	19.7	19.9	20.0
Public investment	7.1	8.4	7.3	7.1
Private investment	11.0	11.3	12.6	12.9
Gross domestic savings	12.4	13.9	14.6	15.1
External current account deficit (excluding transfers and after debt relief)	-6.8	-7.0	-6.3	-5.8
External debt-service ratio ¹ (after debt relief)	11.1	9.0	6.8	7.1
Fiscal accounts				
Total revenue (excluding grants)	16.7	16.8	16.0	16.2
Total expenditure	19.9	21.2	19.4	18.8
Basic fiscal balance ²	2.6	1.7	1.5	2.3
Overall balance (on a commitment basis)				
Excluding grants	-3.3	-4.4	-3.4	-2.6
Including grants	-0.3	-2.0	-1.3	-0.6
Domestic financing (net)	-1.5	-0.2	0.6	-0.3
Foreign financing (net)	1.8	2.2	0.7	0.9
Stock of public debt				
Domestic	11.4	9.5	7.8	6.3
External	69.4	66.0	61.7	57.3

Sources: Senegalese authorities; and Fund staff estimates and projections.

¹The ratio of debt-service payments (after debt relief) to exports of goods and nonfactor services.

²Defined as total revenue (excluding grants) minus total expenditure and net lending, excluding externally financed capital expenditure.

B. The Program for 1999–2000

Fiscal policy

13. Senegal's original **budget** for 1999 projected a basic fiscal surplus of 2.6 percent of GDP and an overall budget deficit of 3.3 percent of GDP, unchanged from 1998. On June 11, 1999, Parliament adopted a supplementary budget, which authorized the government to spend the remaining resources (CFAF 60 billion) received in 1997–98 from the privatization of SONATEL. Including this supplementary finance law, the basic budgetary balance will continue to show a surplus in 1999, albeit a smaller one (1.7 percent of GDP) and the overall fiscal deficit will be limited to 4.4 percent of GDP.

14. Two-thirds of the supplementary appropriations (CFAF 40 billion) will be on investment projects,⁸ the balance being spent on debt reduction (CFAF 9.2 billion) and on current expenditure (CFAF 10.8 billion). The bulk of investment expenditures are devoted to rural infrastructure projects and the construction of two regional hospitals that will ultimately benefit the poorer segments of the population. The planned current expenditures, which are of an exceptional nature, include the cost of severance pay for public enterprises restructured in 1998. No additional allocations were made for the health and education sectors, because of significant delays encountered in previous years in spending the regular budgetary allocations in these areas. The government will prepare, with the assistance of the World Bank, a report that should explain these bottlenecks and propose remedial actions before end-September 1999; it will also initiate well-targeted programs to alleviate poverty in major urban centers by the same date.

15. Total **revenue** is projected to increase marginally in 1999 to 16.8 percent of GDP. This would reflect higher proceeds from petroleum products taxation more than offsetting the decline in customs revenue collection stemming from the 1998 trade liberalization measures, as well as the personal income tax reform. These projections incorporate repayment of tax arrears due by SENELEC/SAR, which were estimated at CFAF 7.2 billion at end-March 1999, and measures aimed at strengthening the customs and tax administrations including: (a) reinforcing the unit monitoring large taxpayers (b) generalizing the use of the single tax identification number NINEA; (c) computerizing the VAT collection unit; and (d) improving controls of custom duty-exempt regimes. The government will also implement the decisions adopted in March 1999 at the regional level on the use of temporary declining surtaxes (TDP) and establish minimum values for protection of certain products, and ensure that they are consistent with WTO rules. Following a study on the productivity of the rice sector to be finalized by end-July 1999, these supplementary protection mechanisms will be used to streamline the present rice import taxation by September 30, 1999. As the WAEMU Council of Ministers is expected to leave rice import taxation to the decision of each member country

⁸Of which CFAF 23 billion projected to be spent in 1999, and the balance of CFAF 17 billion in 2000.

until the year 2002, Senegal intends to apply an ad-valorem tax to all rice imports—whole or broken—while eliminating existing levies and surtaxes.

16. **The final stage of the adoption of the CET** will take place on January 1, 2000. The customs duty on imports subject to the highest tariff will drop from 25 to 20 percent, the 5 percent stamp duty will be replaced by a 1 percent statistical tax, and duties will be abolished on imports of industrial goods processed in WAEMU countries. The cost of the trade liberalization, in terms of revenues loss, is projected at 1 percent of GDP. In part, to minimize the revenue loss, but also for efficiency reasons, the authorities will dismantle the tariff discounting mechanism⁹ by end-December 1999 as described in the Memorandum on Economic and Financial Policies (paragraph 16). The overall revenue impact of eliminating the *précisions tarifaires* is projected at CFAF 3 billion (0.1 percent of GDP) in 2000. The government will also implement, without delay, the WAEMU's Commission's decision concerning the 150 tariff lines for which it has lodged reservations.¹⁰

17. Consistent with the agreed program of regional harmonization of indirect taxes and to compensate for the customs revenue losses, **the government will reform the VAT effective July 1, 2000**, rather than on January 1, 2000. The delay will allow the authorities to complete preparation of the reform and to initiate a public campaign to rally political support for the change which is expected to have a moderate impact on the price of some key consumption items. Under this reform, the current two-rate VAT (10 and 20 percent) will be replaced with a VAT at the single rate of 18 percent. The VAT revenue yield after the reform is estimated at 6.9 percent of GDP on an annual basis, about one percentage point above its recent average. This will require, inter alia, that the VAT applies to as wide a base as possible, with a strictly limited list of exempt goods and services. Because of the 6 month delay in adopting the VAT reform relative to the date of implementation of the CET, total VAT revenues are projected to be equivalent to 6.5 percent of GDP in 2000, implying a potential revenue loss of CFAF 11.6 billion (0.4 percent of GDP) in that year. Discussions during the midterm review on the budget for 2000 will cover, inter alia, identification of measures needed to close this gap.

18. **In 1999, the government will continue to contain the growth of current expenditures**, in order to ensure adequate funding for priority social sectors, maintenance of public infrastructure, and investment. The total wage bill will increase moderately (by 4.5 percent), but the number of civil servants (excluding volunteer teachers) will be kept at 67,000 throughout the program period. The partly merit-based wage system, which was

⁹With the exception of 655 *précisions tarifaires* pertaining to social products (pharmaceuticals and school books) for which the WAEMU Commission is requested to elaborate appropriate replacement custom arrangements agreed upon at the regional level.

¹⁰Concerning mostly consumption items, for which the new WAEMU tariff rates are higher than existing Senegalese rates. Senegal has requested the WAEMU commission to place these products in a lower import category.

delayed from last year, will be implemented by end-1999; it will mix elements of automaticity with merit increases, as a first step towards a fully merit-based compensation system to be adopted in the future. Measures to eliminate the deficit of the FNR will be presented to the National Assembly in October 1999 for implementation in 2000. Along with an increase in employee contributions, they include an increase in the payroll-based government's contribution to the FNR and a commensurate increase in the projected payroll expenditures. Expenditure projections for 1999 take into account the cost of preparations for the presidential elections in early 2000, budgeted at CFAF 4.5 billion. The subsidies on fuel deliveries to SENELEC and on butane gas will continue to be phased out as planned, and eliminated in 2001 and 2002, respectively. The share of the social sectors in the operating budget is expected to reach 38 percent, with 31 percent going to education and 7 percent to health. In addition, the authorities will improve policy formulation in the sectors of health, education, and justice based on the sectoral public expenditure reviews conducted in 1997-98.

19. **Government investment outlays** in 1999 are projected to grow in relation to GDP by about 1 percent to 8.4 percent. This is due both to an increase in domestically-financed investment outlays under the supplementary finance law and increased availability of external resources. In 1999, the government will fully implement the action plan for improving preparation, execution and monitoring of the rolling three-year investment program. This will involve establishment of sectoral spending programs, such as those prepared for the health and education sectors, and the integration of all capital expenditures executed by the government in the presentation of budgetary operations.

20. Proceeds from the sale of 34 percent of the government's shares in the national power company in early 1999 amounted to CFAF 39.6 billion (1.3 percent of GDP), and other privatization receipts are expected during the next two years. This will allow the government to **reduce its indebtedness to the banking system** starting in 1999 with the repayment of CFAF 9 billion of the stock of statutory advances from the Central Bank, which stood at CFAF 70.4 billion at end-December 1998. The balance will be eliminated by end-2001 through a combination of use of Treasury deposits and, the issuance of Treasury bills. To minimize the financial costs of servicing Treasury debt instruments, the government will limit the total value of bonds issued to some CFAF 35 billion. The intent is to reduce the stock of domestic public debt from 11.4 percent at end-1998 to about 6 percent by end-2001, thereby strengthening fiscal viability.

Monetary and Financial Sector Policies

21. Monetary policy will continue to be conducted at the regional level by the BCEAO through the implementation of an indirect, market-based monetary policy. Broad money is projected to grow by about 9 percent in 1999, in line with growth in nominal GDP. The monetary program for 1999 also projects a contribution by Senegal to the regional pool of net foreign assets of CFAF 71 billion (11.2 percent of beginning of period money stock) and a reduction in net credit to Government by about 7 percent of beginning-of-period money stock. Credit to the economy is projected to increase by about 7 percent, with the growth in non-

crop credit projected to be around 10 percent and in line with recent trends. Crop financing is in structural decline, because SONACOS, the groundnut company, is now issuing commercial paper on the regional market instead of relying on bank financing. The Senegalese government will continue to take decisive action in support of the recommendations of the regional Banking Commission concerning poorly performing banks, as indicated in Box 1.

Structural policies

22. The authorities will sustain their structural reform agenda as an integral part of the overall strategy to accelerate private sector-led growth and to achieve a lasting reduction in poverty. Some of the key measures center on: (i) finalizing the privatization and restructuring of public enterprises; (ii) developing a favorable environment for the private sector, (iii) deepening sectoral reforms; (iv) significant improvements in human resources management; and (v) promoting economic integration among the WAEMU countries. The latter four items are covered in more detail in paragraphs 28 through 32 of the Memorandum on Economic and Financial Policies and in paragraphs 27 through 52 of the PFP.

23. To complete the privatization process begun in 1994, **the authorities have drawn up a list of enterprises to be privatized in 1999-2000, thirteen of which will be put up for sale in 1999** as indicated above (Table 9). Significant progress has already been achieved for four enterprises.¹¹ Concerning the nine other enterprises to be privatized in 1999, the hotel Méridien-Président will be sold through international tender in August 1999; SODEFITEX will be sold to cotton producers and small-holders before end-November 1999; the joint Senegalo-Malian company (SETI) to operate the Dakar-Bamako railway has been set up and will start operating before year-end; and preparations for the sale of six other small companies¹² is well under way. Five other small enterprises are slated for privatization in 2000.¹³ At the end of this restructuring exercise, only a very small number of public enterprises will remain state owned, and these are involved in tasks unlikely to be readily assumed by the private sector (mostly social services).

¹¹Air Senegal and SENELEC, which have been sold, SOTRAC and SONACOS.

¹²A tapestry weaving company (MSAD); an industrial promotion and research company (SONEPI); a real estate company (SICAP); the company to manage the Dakar industrial estate (SONIDA); the equipment research center (CEREEQ); and the national drilling company (SONAFOR).

¹³The film company (SIDECE); the company for development of the Petite Côte (SAPCO); the reinsurance company (SENRE); the national lottery (LONASE); and the international foreign trade center (CICES). The assessment of the latter two will start in 2000 and their privatization could take place only in 2001.

24. Actions in the structural and sectoral areas will be supported by the forceful implementation of policies to promote good governance, as detailed in Box 5.

Box 5: Governance Issues

The authorities comprehensive program of actions aimed at promoting good governance has four major components:

- **Furthering of the rule of law, including through the fight on corruption.** This will encompass renewed efforts to tackle fiscal evasion, and full transparency in the procedures for granting fishing licenses and regulations governing government procurement. In particular, an external audit by an independent firm of international repute of the operations of the *Fonds de Promotion Economique (FPE)* will be conducted and finalized before December 31, 1999. Also, the customs will prepare by September 30, 1999 an action plan to combat fraud, including the cleaning up of the operations of customs brokers and a stringent control of preferential customs regimes
- **Improving the judicial system:** the increase in budgetary allocations for the administration of justice, better training of magistrates and judicial personnel in commercial law, and adoption of the new recovery and enforcement procedures consistent with the OHADA acts on security, will be at the center of the reform of the legal and judicial system.
- **Enhancing the efficiency of public administration:** a further civil service reform, a review of civil service regulations, and improved human resource management including preparation of a staffing plan for ministries, together with a swift completion of the 'user surveys' of the quality of public service and holding national consultations on the conclusion of the survey.
- **Appropriate local administration and decentralization:** capacity building of local entities and their improved financing through the setting up of the regional development agency (ARD) and the municipal development agency as part of the planned decentralization policies; this will also involve a gradual emphasis on local taxation and budgetary and treasury management, possibly with technical assistance from the Fund.

IV. MEDIUM-TERM BALANCE OF PAYMENTS OUTLOOK AND DEBT SUSTAINABILITY

25. The external current account deficit (excluding official transfers) in 1999 is expected to remain at about its 1998 level. A sharp increase in imports, mainly of equipment and intermediate products associated with a higher level of foreign direct investment, will lead to a deterioration in the trade balance. This will be partially offset by an improvement in the service account. Relatively large private capital inflows, related to investments in the chemical industry, the privatization of SENELEC, and a World Bank loan to the energy sector, will more than cover the current account deficit, ensuring that the program is fully financed, including the accumulation of some CFAF 71 billion in net foreign assets with the regional central bank.

26. Beyond 1999, the external position is expected to improve to levels consistent with medium-term viability. With the share of exports in GDP growing (on the assumption that reforms are taking hold) and imports increasing broadly in line with output, the external current account deficit (excluding official transfers) is expected to shrink steadily to about 6 percent of GDP in 2001 and to remain at this level in the medium-term. This path of external adjustment should be sustainable, as deficits are expected to be financed by foreign capital

inflows in the form of foreign direct investment, donors assistance, and borrowing on concessional terms. Further trade liberalization will be implemented under the last phase of the CET, as discussed above. The aggregate trade restrictiveness, as measured by the Fund's index, was estimated at 6 in 1998 (on a scale from 1 to 10), but is expected to improve with the timely implementation of the final phase of tariff reduction in the year 2000.¹⁴

27. The conclusions¹⁵ of the **debt sustainability analysis** conducted in April 1998 remain broadly valid, based on current guidelines. The staff plans to reassess Senegal's position under the enhanced HIPC Initiative proposed by the G-7 Cologne Summit, once an enhanced Initiative has been approved by the Fund and Bank Executive Boards. Nevertheless, the sustainability of the external position over the medium-term will need to be supported by a prudent external debt policy. After the signing of most rescheduling agreements with Paris Club creditors following the stock-of-debt reduction operation of June 1998, the authorities are pursuing discussions with non-Paris Club bilateral creditors to secure debt relief on terms at least comparable to Naples terms. The Senegalese authorities have also expressed their intention to limit external borrowing to loans that are highly concessional, and to continue to seek support from donors mainly in the form of grants. In addition, Senegal is looking into the possibility of requesting debt conversions that would benefit the social sectors and the environment, after considering carefully the short-term implications of such conversions.

28. In view of Senegal's medium-term balance of payments outlook, good prospects for continued international assistance on concessional terms, and given the authorities' good record in meeting debt service payments, Senegal should have no difficulties in servicing its obligations to the Fund.

V. PROGRAM MONITORING AND PRIOR ACTIONS

29. To ensure the timely and effective implementation of the program, the government has taken the following **actions before the Executive Board discussion**: (a) provision to the Fund staff of a complete time series (1994-98) on a comprehensive measure of government investment, including previously off-budget investments financed by donors; (b) adoption of the legal amendment formally terminating the convention with the refinery (SAR); (c) payment by SENELEC/SAR to the Treasury of CFAF 4 billion as a partial settlement of arrears for the delivery of fuel oil.

¹⁴The trade restrictiveness index, while useful for pointing to a trend in trade liberalization, does not provide a full picture of trade restrictiveness in Senegal. In particular, the existence of the *précisions tarifaires*, exemptions, reference values, and the special relations with WAEMU countries has significant adverse effects on Senegal's trade regime, which compounds the problem of its restrictiveness.

¹⁵Namely that Senegal's external debt situation was sustainable (see paragraph 9).

30. The program will be monitored through a set of quantitative and structural benchmarks that are specified in Tables 2 and 3 of the Memorandum on Economic and Financial Policies (Appendix I, Annex). Two **quantitative performance criteria** have been set for September 30, 1999, as well as three continuous performance criteria on the nonaccumulation of domestic and external payments arrears, and on the non-contracting and guaranteeing of new nonconcessional external borrowing except for normal trade credits and loans from BOAD. These will also serve as benchmarks for June 30, 1999, December 31, 1999, and March 31, 2000. Two **quantitative benchmarks** have been set for the four test dates. Six **structural performance criteria** have been set for September 30, 1999; and three structural benchmarks have been set for August 31, 1999 and September 30, 1999.

31. Progress in implementing the program will be assessed during a **first review** to be completed by end-December 1999, which will focus, inter alia, on (a) execution of the privatization program for 1999; (b) the modalities for implementing the third stage of the tariff reform, beginning on January 1, 2000, including elimination of all *précisions tarifaires*; (c) the major components of the 2000 budget, and in particular the plan to adopt a single VAT rate by July 1, 2000 at 18 percent to compensate for the revenue losses linked to the final phase of the CET; (d) the reduction of CFAF 9 billion in the year-end 1998 stock of statutory advances by the central bank; (e) measures to offset revenue shortfall stemming from the delayed introduction of the VAT and to close the financing gap of CFAF 11.6 billion projected for the year 2000; (f) progress in preparation of the external audit report of the FPE; and (g) progress achieved in the implementation of measures to reduce the obstacles faced by investors, based on the recommendations of the FIAS report. One structural performance criterion and seven structural benchmarks have been set for the end of December, 1999. Also, during the first review, other performance criteria will be set for March 31, 2000. The second review will be held by June 15, 2000 on the basis of the end-March, 2000 test date.

VI. STAFF APPRAISAL

32. Over the last few years, Senegal has implemented strong macroeconomic and structural policies that contributed to improving the economic and financial situation. Real GDP growth has increased, inflation has abated, and the external current account position has improved. The authorities have continued these policies under the 1998/99 program supported by the first annual ESAF arrangement. The economy has responded well to these policies, despite adverse weather conditions that reduced the contribution of the agriculture sector to growth. However, the economic and financial situation remains fragile and requires further action to achieve a growth rate high enough to enable the government to effectively address the problem of poverty. The key areas needing stronger action by the authorities include:

- **Fiscal consolidation:** In this area, the authorities' policies should aim at maintaining the basic balance in surplus so as to increase public sector saving. After the impact of the 1999 supplementary finance law, the overall expenditure ratio should revert to around 18 percent of GDP, a level that can be financed from current receipts. The

authorities should also be fully prepared for the move to the final phase of the common external tariff on January 1, 2000, as intended. In this context, measures should be taken at an early date to remove all impediments, such as the *précisions tarifaires*, that are inconsistent with the CET. Appropriate measures must also be taken, including the introduction of a single rate VAT with strictly limited exemptions, to offset the revenue loss stemming from the lowering of the import duties. These steps should be supplemented with a reform of rice taxation in favor of a simple ad valorem customs duty applicable to all rice imports, and the elimination of all existing surcharges.

- **Monetary and financial sector policy:** The authorities should continue to support the prudent monetary policy of the BCEAO while seeking to develop further instruments of indirect monetary management. The government should continue to make every effort to ensure that all the prudential ratios of the WAMU Banking Commission are respected by all banks.
- **Structural reforms:** the authorities should expedite privatization or restructuring of all enterprises selected to be offered for sale or restructured in 1999. The reform of the National Retirement Fund should be adopted before year-end and implemented in 2000. Equally important is the implementation of the reform of the promotion system of the civil service. Lessons learned from the current seniority cum merit-based promotion system, particularly its impact on the wage bill, should be useful to the authorities in preparing further reforms to establish a promotion system solely based on merit. Pressing ahead decisively with sectoral policies, especially concerning the liberalization of the energy and transport sectors, combined with strong policies to develop human resources, would result in significant efficiency gains and strengthened growth.
- **Private sector development and investment promotion:** the authorities should redouble efforts to strengthen the judicial system to ensure that private property rights are fully protected and that the OHADA Uniform Act on security is translated into appropriate national legislation on recovery and enforcement. More immediately however, the government should prepare and implement an action plan, based on the recommendations of the FIAS study, to address factors that inhibit private investors' activities in Senegal.
- **Governance and transparency issues:** the authorities are encouraged to step up the fight against fiscal fraud by tightening procedures at the customs office, while defining and enforcing transparent rules for granting fishing licences. The audit of the *Fonds de Promotion Economique* should be carried out without delay, and in a fully transparent manner.
- Finally, the authorities should continue to **improve the statistical database** to guide formulation of economic and financial policies in a timely manner. In this regard, the publication of a revised series on foreign-financed investment outlays is a welcome

step. Also, they should ensure that the computer systems in Senegal are ready for the year 2000 by accelerating the timetable of preparedness, devoting enough time to test the critical systems, and putting in place remedial actions before end-December 1999.

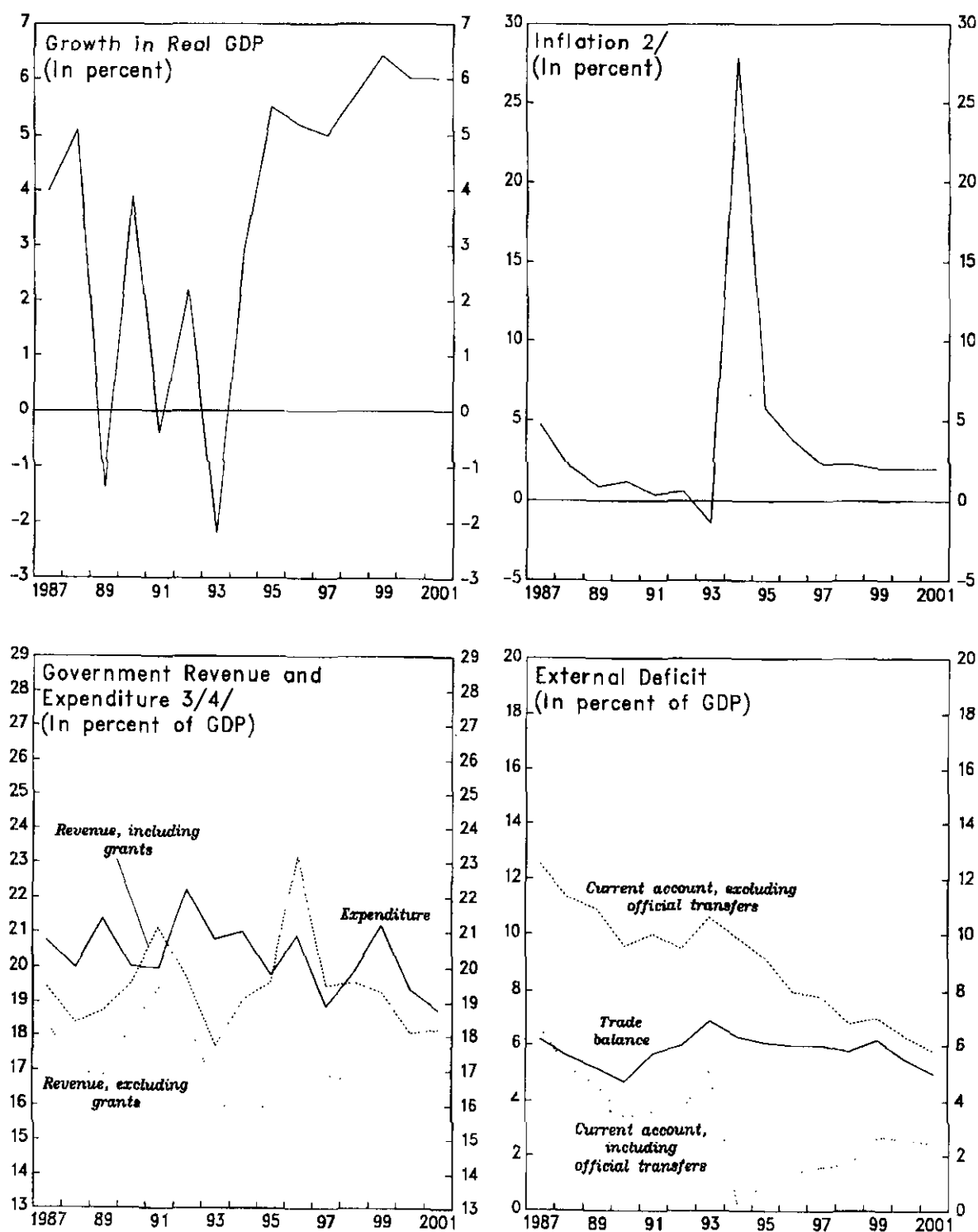
33. The authorities are embarking on the 1999/2000 program a few months ahead of the start of the presidential elections scheduled for early 2000. There are some risks that a number of critical reforms may be postponed because of the political campaign. The authorities should be encouraged to resist such temptations which can only set back Senegal's reform program and durably affect prospects for growth and for reducing poverty. However, in light of the strong policies implemented over the last few years, the encouraging results obtained thus far, and the strength of the policies adopted by the government for 1999–2000, the staff recommends approval of Senegal's program for the second year under the ESAF arrangement.

VII. PROPOSED DECISION

The following draft decision has been proposed for adoption by the Executive Board:

1. Senegal has requested that the second annual arrangement, in the amount equivalent to SDR35.67 million, under the three-year arrangement for Senegal under the Enhanced Structural Adjustment Facility (EBS/98/68, Supplement 1) be approved.
2. The Fund notes the updated policy framework paper for Senegal set forth in EBD/99/78.
3. The Fund approves the second annual arrangement set forth in EBS/99/114.

Figure 1. Senegal: Main Economic Indicators, 1987-2001 1/



Sources: Data provided by Senegalese authorities; and staff estimates.

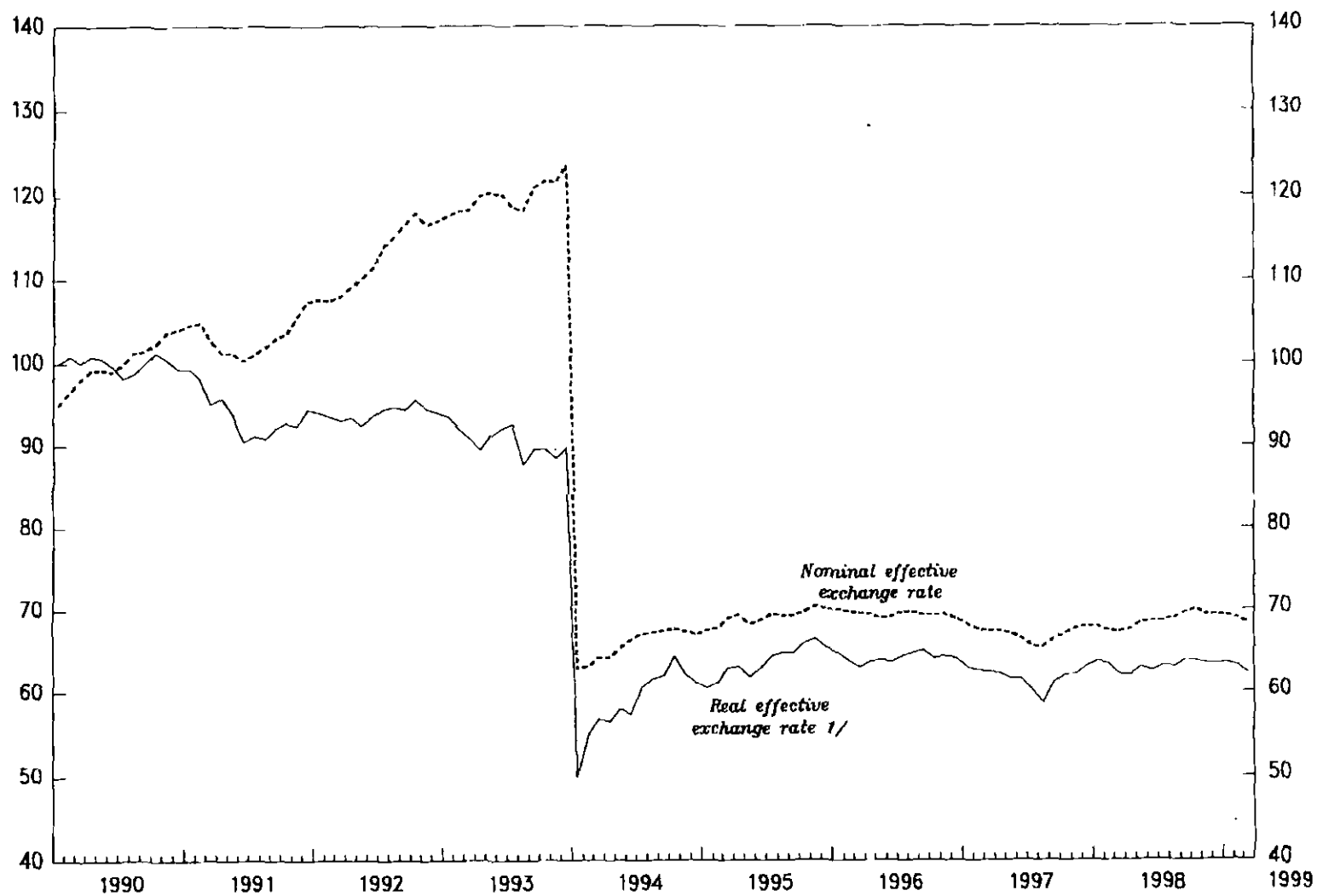
1/ Fiscal year ending June through 1991/92; on calendar-year-basis starting in 1993.

2/ Percent change in GDP deflator.

3/ Central government, on commitment basis.

4/ The series on grants and foreign financed capital expenditure were revised for 1996 onwards to take into account any available foreign financing.

Figure 2. Senegal: Real and Nominal Effective Exchange Rates,
January 1990 – March 1999
(Period average; 1990=100)



Source: IMF, Information Notice System.

1/ Based on relative consumer price indices.

Table 1. Senegal: Fund Position During the Period of the ESAF Arrangement, 1999-2001

	Outstanding March 31, 1999	1999			2000				2001			
		Apr.- Jun.	Jul.- Sep.	Oct.- Dec.	Jan.- Mar.	Apr.- Jun.	Jul.- Sep.	Oct.- Dec.	Jan.- Mar.	Apr.- Jun.	Jul.- Sep.	Oct.- Dec.
(In millions of SDRs)												
Net use of Fund credit		-8.51	14.27	5.76	-1.67	7.89	-1.67	6.93	-1.67	4.55	-1.67	-8.03
Transactions under tranche policies		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Purchases		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Ordinary resources		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Borrowed resources		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Repurchases		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Ordinary resources		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Borrowed resources		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Transactions under special facilities		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Loans under		-8.51	14.27	5.76	-1.67	7.89	-1.67	6.93	-1.67	4.55	-1.67	-8.03
Structural Adjustment Facility		-0.55	0.00	-0.55	0.00	-0.55	0.00	-0.55	-0.00	-0.55	0.00	-0.28
Drawings		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Repayments		-0.55	0.00	-0.55	0.00	-0.55	0.00	-0.55	0.00	-0.55	0.00	-0.28
Enhanced Structural Adjustment Facility		-7.96	14.27	6.31	-1.67	8.44	-1.67	7.48	-1.67	5.10	-1.67	-7.75
Drawings		0.00	14.27	14.27	0.00	14.27	0.00	14.27	0.00	14.27	0.00	0.00
Repayments		-7.96	0.00	-7.96	-1.67	-5.83	-1.67	-6.79	-1.67	-9.17	-1.67	-7.75
Total Fund credit outstanding	200.94	192.43	206.70	212.46	210.79	218.68	217.01	223.94	222.27	226.82	225.15	217.12
Under tranche policies	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Under special facilities	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Under Structural Adjustment Facility	3.05	2.50	2.50	1.95	1.95	1.40	1.40	0.85	0.85	0.30	0.30	0.02
Under Enhanced Structural Adjustment Facility	197.89	189.93	204.20	210.51	208.84	217.28	215.61	223.09	221.42	226.52	224.85	217.10
(In percent of quota)												
Total Fund credit outstanding	124.2	118.9	127.8	131.3	187.8	135.2	134.1	138.4	137.4	140.2	139.2	134.2
Under tranche policies	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Under special facilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Under Structural Adjustment Facility	1.9	1.5	1.5	1.2	1.2	0.9	0.9	0.5	0.5	0.2	0.2	0.0
Under Enhanced Structural Adjustment Facility	122.3	117.4	126.2	130.1	129.1	134.3	133.3	137.9	136.8	140.0	139.0	134.2

Source: IMF, Treasurer's Department.

**Table 2. Senegal: Tentative Work Program Under the New
ESAF Architecture, 1999-2001¹**

Date	Action	Disbursement
April/May 1999	Negotiation of second annual ESAF arrangement	
July 1999	Executive Board consideration and approval of second annual arrangement	SDR 14.268 million
End-September 1999	Performance criteria test date	
October/November 1999	Midterm review mission under the second annual ESAF arrangement and 1999 Article IV consultation discussions	
End-December 1999	Executive Board consideration and completion of midterm review under second annual ESAF arrangement and conclusion of the 1999 Article IV consultation. At end-December, there will also be a test date for a structural performance criterion	SDR 14.268 million
End-March 2000	Performance criteria test date	
April 2000	Mission on the year-end review under the second annual ESAF arrangement and negotiation of third annual ESAF arrangement	
Mid-June 2000	Executive Board consideration and completion of year-end review of the second annual ESAF arrangement	SDR 7.134 million
June 2000	Executive Board consideration of third annual arrangement	SDR 7.134 million
September 2000	Performance criteria test date	
October 2000	Mission on the midterm review under the third annual ESAF arrangement and year 2000 Article IV consultation discussion	
December 2000	Executive Board consideration and completion of midterm review under the third annual ESAF arrangement and conclusion of year 2000 Article IV consultation	SDR 14.268 million
March 2001	Performance criteria test date	
June 2001	Final disbursement	SDR 14.268 million
July 2001	Arrangement expires	

¹See "Selected Operational Issues in ESAF Arrangements," EBS/98/115. This timetable is based on disbursement of the remaining SDR 71.34 million under the three-year ESAF arrangement approved on April 20, 1998.

Table 3. Senegal: Selected Economic and Financial Indicators, 1996-2001

	1996	1997 Est.	1998 Rev. Prog.	Est.	1999 1/ Projections	2000 Projections	2001
(Annual percent change, unless otherwise indicated)							
National income and prices							
GDP at constant prices	5.2	5.0	5.7	5.7	6.4	6.0	6.0
Of which : nonagriculture GDP	4.5	6.9	7.0	7.1	5.8	6.0	6.1
Consumer prices							
Annual average	2.8	1.8	...	1.1	2.0	2.0	2.0
End of period	2.4	1.9	...	0.9	...	...	...
External sector							
Exports, f.o.b. (in CFA francs)	4.2	7.9	5.8	4.6	7.5	10.4	9.6
Imports, f.o.b. (in CFA francs)	7.5	7.6	6.5	4.6	9.1	11.0	7.3
Export volume	2.1	1.6	5.2	5.2	7.4	10.5	8.9
Import volume	4.2	3.0	10.2	11.8	12.6	4.9	6.2
Terms of trade (deterioration -)	-1.1	0.8	4.8	6.9	2.9	-1.5	0.4
Nominal effective exchange rate	-2.1	-3.5	...	2.3	...	...	...
Real effective exchange rate	-2.4	-3.7	...	2.2	...	...	...
Government financial operations							
Revenue	7.7	9.6	4.0	6.5	9.1	2.9	10.0
Total expenditure and net lending	0.8	-3.8	3.4	13.7	15.4	-1.2	5.0
(Changes in percent of beginning-of-year broad money, unless otherwise indicated)							
Money and credit							
Net domestic assets	3.7	-8.6	3.8	2.7	-2.1	...	...
Domestic credit	8.2	-18.6	8.9	6.6	-2.1	...	...
Credit to the government (net)	-4.4	-27.4	1.4	-1.1	-7.1	...	...
Credit to the economy (percentage growth)	21.5	13.7	10.9	11.2	7.3	...	...
Broad money (M2)	10.8	7.3	8.1	8.6	9.2	...	...
Velocity (end-of-period)	4.4	4.4	4.5	4.4	4.4	...	...
Interest rates (end of period; in percent)							
Discount rate	6.5	6.0	...	6.25	...	...	...
Money market rate	5.0	4.96	...	4.95	...	...	...
(In percent of GDP)							
Overall fiscal surplus or deficit (-)							
Commitment basis, excluding grants	-4.6	-2.0	-2.0	-3.3	-4.4	-3.4	-2.6
Commitment basis, including grants	-0.2	0.5	-0.3	-0.3	-1.9	-1.3	-0.6
Gross domestic investment	16.3	17.3	19.8	18.1	19.7	19.9	20.0
Gross domestic savings	12.8	11.6	14.0	12.4	13.9	14.6	15.1
Gross national savings (including official transfers)	17.1	15.7	17.5	16.4	17.0	17.3	17.6
External current account deficit (-)							
Excluding official transfers	-8.0	-7.8	-7.7	-6.8	-7.0	-6.3	-5.8
Including official transfers	-1.4	-1.6	-2.3	-1.7	-2.7	-2.6	-2.4
Domestic public debt	15.0	13.7	9.0	11.4	9.5	7.8	6.3
External public debt (after debt relief)	77.3	73.1	68.0	69.4	66.0	61.7	57.3
(In percent of exports of goods and nonfactor services, unless otherwise indicated)							
External public debt service (after debt relief)	15.0	17.6	15.6	11.1	9.0	6.8	7.1
In percent of government revenue	30.7	28.7	30.4	20.8	20.2	20.4	18.9
GDP at current market prices (in billions of CFA francs)	2,379.7	2,556.2	2,855.5	2762.10	2,995.7	3,239.3	3502.4

Sources: Senegalese authorities; and staff estimates and projections.

1/ The fiscal projections for 1999 and 2000 are shown including the supplementary budget.

Table 4. Senegal: Selected National Accounts Indicators, 1996-2001

	Composition of GDP in 1998 (in percent)	1996	1997 Prov.	1998 Est.	1999	2000	2001
					Projections		
(Annual percentage change in constant prices)							
Primary sector	16.9	4.7	-2.8	-3.2	8.2	5.4	4.4
Agriculture	8.0	10.6	-10.6	-8.0	12.4	6.6	5.0
Livestock	6.7	0.6	5.4	3.3	4.4	4.5	4.0
Fishing	1.6	-9.6	11.8	-3.4	4.9	4.1	3.8
Forestry	0.6	0.5	2.0	-3.8	3.3	2.0	0.8
Secondary sector	20.3	5.4	5.9	8.4	6.8	7.1	7.1
Mining	0.3	-1.4	9.8	-2.8	18.3	10.4	16.5
Industry	13.3	4.4	4.3	7.2	5.5	5.5	6.0
Oil milling	0.5	-5.1	-20.9	28.4	17.6	10.0	10.0
Energy	1.9	8.8	6.5	5.5	6.0	6.0	6.0
Construction and Public work	4.3	9.6	14.9	12.7	9.3	12.0	10.0
Tertiary sector	62.8	5.2	7.3	7.5	5.7	5.8	6.1
Transportation	11.8	6.0	12.0	7.5	6.5	6.5	6.5
Commerce	22.0	8.7	7.4	7.7	5.2	6.0	6.6
Public Administration	8.9	0.3	0.8	2.9	3.0	2.0	2.0
Other	20.1	3.7	7.9	9.5	7.1	7.0	7.0
GDP	100.0	5.2	5.0	5.7	6.4	6.0	6.0
Nonagriculture GDP	92.0	4.5	6.9	7.1	5.8	6.0	6.1
GDP deflator	...	1.3	2.3	2.2	2.0	2.8	3.8
(In percent of nominal GDP)							
Gross domestic investment		18.5	17.3	18.1	19.7	19.9	20.0
Government 1/		6.4	6.4	7.1	8.4	7.3	7.1
Nongovernment		12.1	10.9	11.0	11.3	12.6	12.9
Gross domestic savings		12.8	11.6	12.4	13.9	14.6	15.1
Government 1/		4.5	6.2	6.1	6.2	6.2	6.8
Nongovernment		8.3	5.4	6.3	7.6	8.4	8.3
Investment - Savings balance		-5.7	-5.7	-5.7	-5.8	-5.2	-4.9
Government		-1.8	-0.2	-1.0	-2.2	-1.1	-0.3
Nongovernment		-3.9	-5.5	-4.7	-3.7	-4.2	-4.6
External current account balance 2/		-1.4	-1.6	-1.7	-2.7	-2.6	-2.4
Gross national savings 2/		17.1	15.7	16.4	17.0	17.3	17.6

Sources: Senegalese authorities; and Fund staff estimates and projections.

1/ Central government.

2/ Including official transfers.

Table 5. Senegal: Government Financial Operations, 1996-2001

	1996	1997	1998		1999	2000	2001
			Prog. 9/	Prel.	Prog.	Prog.	Prog.
(In billions of CFA francs)							
Total revenue and grants	551.2	497.8	499.8	541.9	576.9	586.7	638.7
Revenue	394.3	432.2	449.4	460.1	502.1	516.7	568.7
Tax revenue	369.3	401.1	427.9	438.9	486.5	495.8	546.8
Nontax revenue	25.0	31.1	21.5	21.2	15.6	20.9	21.9
Grants	156.9	65.6	50.4	81.8	74.8	70.0	70.0
Budgetary	17.7	11.9	0.0	18.7	4.8	0.0	0.0
Budgeted development projects	139.2	53.7	50.4	63.1	70.0	70.0	70.0
Total expenditure and net lending	497.9	484.3	507.7	550.6	635.3	627.6	658.8
Current expenditure	312.6	317.6	327.0	310.1	353.7	362.9	381.6
Wages and salaries	162.6	160.4	165.1	162.6	170.0	174.3	174.3
Interest due	55.9	58.6	48.8	34.8	45.6	46.6	51.1
Of which: External 1/	45.9	47.5	39.9	27.8	35.3	34.9	39.1
Other current expenditure	94.1	98.6	113.1	112.7	138.1	142.0	156.2
Capital expenditure	183.0	163.8	173.8	196.9	251.6	235.7	248.6
Domestically financed	41.6	57.5	78.8	78.5	103.5	110.7	113.6
Externally financed	141.4	106.3	95.0	118.4	148.1	125.0	135.0
Treasury special accounts and correspondents (net) 2/	7.9	7.3	6.9	8.3	3.7	0.0	0.0
Net lending	-5.6	-4.4	--	35.3	26.3	29.0	28.6
Overall fiscal balance (commitment basis, including grants)	53.3	13.5	-7.9	-8.7	-58.4	-41.0	-20.1
Adjustments to cash basis (change in payments arrears)	0.0	2.7	-2.7	-2.7	0.0	0.0	0.0
Domestic arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External arrears	0.0	2.7	-2.7	-2.7	0.0	0.0	0.0
Basic fiscal balance 3/	37.8	67.8	36.7	71.9	49.9	49.0	79.9
Overall fiscal balance (cash basis, including grants)	53.3	16.2	-10.6	-11.4	-58.4	-41.0	-20.1
Financing	-53.3	-16.2	10.6	11.4	58.4	41.0	20.1
External financing	10.4	46.6	-2.7	50.3	65.6	20.6	31.6
Drawings	83.1	101.4	61.5	108.7	131.6	90.0	100.0
Treasury	23.5	2.4	11.5	19.1	41.6	0.0	0.0
Project loans	59.6	53.6	50.0	89.6	90.0	90.0	100.0
Other 4/	0.0	45.4	0.0	0.0	0.0	0.0	0.0
Amortization due	-72.7	-72.0	-65.5	-58.4	-66.0	-69.4	-68.4
Debt relief	0.0	25.7	1.3	0.0	0.0	0.0	0.0
Paris Club deferral	0.0	-8.5	0.0	0.0	0.0	0.0	0.0
Domestic financing	-48.5	-60.4	13.3	-28.6	-7.2	8.8	-11.5
Banking system	-21.5	-148.3	6.8	-6.2	-45.0	11.4	-8.9
Nonbank financing 5/	-27.0	87.9	6.5	-22.4	37.8	-2.6	-2.6
Of which: Privatization receipts	0.0	93.4	28.5	30.9	40.7	1.1	1.1
Errors and Omissions	-15.2	-2.4	0.0	-10.3	0.0	0.0	0.0
Financing gap	0.0	0.0	0.0	0.0	0.0	11.6	0.0
(In percent of GDP)							
Total revenue and grants	23.2	19.5	17.5	19.6	19.3	18.1	18.2
Of which: Revenue	16.6	16.9	15.7	16.7	16.8	16.0	16.2
Of which: Tax revenue	15.5	15.7	15.0	15.9	16.2	15.3	15.6
Total expenditure and net lending	20.9	18.9	17.8	19.9	21.2	19.4	18.8
Of which: Current expenditure	13.1	12.4	11.5	11.2	11.8	11.2	10.9
Capital expenditure	7.7	6.4	6.1	7.1	8.4	7.3	7.1
Overall fiscal balance	-4.4	-2.0	-2.0	-3.3	-4.4	-3.4	-2.6
Commitment basis, excluding grants	-4.4	-1.9	-0.3	-3.4	-4.4	-3.4	-2.6
Cash basis, excluding grants	-4.4	-1.9	-0.3	-3.4	-4.4	-3.4	-2.6
Basic fiscal balance 6/	1.6	2.7	1.3	2.6	1.7	1.5	2.3
Memorandum items:							
(In billions of CFA francs, unless otherwise indicated)							
Current and Capital Social Expenditure 7/							
Education	87.5	89.5		95.5	98.7	106.7	
Health	19.6	19.6		21.8	25.6	27.7	
Stock of domestic payments arrears (end of period)	24.8	19.6	0.0	3.2	0.0	0.0	0.0
internal	0.0	0.0	0.0	0.0	0.0	0.0	0.0
external	0.0	2.7	0.0	0.0	0.0	0.0	0.0
extra-budgetary	24.8	16.9	0.0	3.2	0.0	0.0	0.0
Overall fiscal balance							
Commitment basis, excluding grants (in percent of GDP 8/	-2.3	-1.7	-2.0	-1.1	-1.9		
Gross Domestic Product	2379.7	2556.2	2855.5	2762.1	2995.7	3239.3	3502.4

Sources: Senegalese authorities; and staff estimates and projections

1/ The external debt service figures include all debt directly contracted by the government and part of the government-guaranteed debt serviced by the government; for the projections, the latter is assumed to be 30 percent

2/ Deficits are presented as an expense

3/ Defined as total revenue minus total expenditure and net lending, excluding externally financed capital expenditure.

4/ The amount shown for 1997 represents a tranche from loan received from Taiwan Province of China.

5/ Includes repayment of extrabudgetary arrears (CFAF 16.9 billion in 1998).

6/ Budgetary revenue minus total expenditure and loans (exclusive of foreign financed capital expenditure)

7/ Excludes externally-financed capital expenditure

8/ Based on a narrow definition of the investment budget which excludes donor financed and executed investment outlays.

9/ The program for 1998 was compiled on the basis of the narrow definition of the investment budget.

Table 6. Senegal: Detailed Government Revenue, 1996-2001

	1996	1997	1998	1999	2000	2001
	Actual			Prog.		
(In billions of CFA francs)						
Tax revenue	369.3	401.1	438.9	486.5	495.8	546.8
Taxes on income and property	85.0	94.3	107.2	107.4	116.6	126.1
Individual	45.8	53.7	56.6	53.9	58.3	63.0
Corporate	26.3	29.0	37.1	38.9	42.1	45.5
Other income taxes	12.5	11.0	12.8	14.0	15.6	16.8
Property taxes	0.4	0.6	0.7	0.6	0.6	0.7
Taxes on Goods and Services (excluding petroleum)	135.8	158.7	170.6	192.4	222.3	257.1
Value-added tax on domestic products	68.2	82.8	77.4	95.4	107.4	117.6
Value-added tax on imports	42.1	48.1	65.0	63.6	82.2	104.0
Presumptive taxes on the informal sector	4.5	4.9	3.7	4.5	4.8	5.2
Excises	6.5	4.2	4.6	6.0	6.5	7.0
Registration duties	5.6	9.3	7.9	9.0	6.5	7.0
Others	8.9	9.4	12.0	14.0	15.0	16.3
Taxes on petroleum products	32.7	39.4	50.4	83.9	79.5	80.6
Customs duties	17.2	20.8	11.4	11.2	7.5	6.9
Value-added tax	15.5	18.6	21.6	23.2	20.5	20.2
Excise tax	0.0	0.0	17.4	49.5	51.5	53.5
Taxes on imports (excluding petroleum)	115.8	108.7	110.7	102.7	77.4	83.0
Nontax revenue	25.0	31.1	21.2	15.6	20.9	21.9
Fishing rights	0.0	8.3	7.9	7.9	7.9	7.9
Stabilization	20.1	7.5	1.9	--	--	--
Others	4.9	15.3	11.4	7.7	13.0	14.0
Total revenue	394.3	432.2	460.1	502.1	516.7	568.7
(In percent of GDP)						
Tax revenue	15.0	15.7	15.9	16.2	15.3	15.6
Taxes on income and property	3.5	3.7	3.9	3.6	3.6	3.6
Taxes on goods and services (excluding petroleum)	5.5	6.2	6.2	6.4	6.9	7.3
Taxes on petroleum products	1.3	1.5	1.8	2.8	2.5	2.3
Taxes on imports (excluding petroleum)	4.7	4.3	4.0	3.4	2.4	2.4
Nontax revenue	1.0	1.2	0.8	0.5	0.6	0.6
Total revenue	16.0	16.9	16.7	16.8	16.0	16.2
(In billions of CFA francs)						
Memorandum						
GDP	2,459.2	2,556.2	2,762.1	2,995.7	3,239.3	3,502.4

Sources: Senegalese authorities; and staff estimates and projections

Table 7. Senegal: Monetary Survey, 1996-2001

	1996	1997	1998		1999	2000	2001
			Rev. Prog.	Est.	Proj.	Proj.	Proj.
(In billions of CFA francs; end of period)							
Net foreign assets	-70.2	15.6	40.7	50.1	120.8	124.6	133.2
Central Bank of West African States (BCEAO)	-98.0	-21.1	-2.5	-7.8	62.9	66.7	75.3
Commercial Banks	27.8	36.7	43.2	57.9	57.9	57.9	57.9
Net domestic assets	611.1	564.8	587.0	580.2	567.3	621.4	673.4
Net domestic credit	683.8	583.3	634.9	621.5	608.6	662.7	714.7
Net credit to the government	335.6	187.3	195.7	181.1	136.1	147.5	138.6
Central bank	269.4	152.1	168.3	158.9	120.0	145.6	115.9
Commercial banks	66.4	35	25.9	20.9	14.5	0.3	21.1
Other institutions	-0.2	0.2	1.5	1.3	1.6	1.6	1.6
Credit to the economy	348.2	396.0	439.2	440.4	472.5	515.2	576.1
Other items (net)	-72.7	-18.5	-47.9	-41.3	-41.3	-41.3	-41.3
Broad money (M2)	540.9	580.4	627.7	630.3	688.0	746.0	806.6
Currency outside banks	142.0	142.8	148.3	158.5	171.9	185.9	201.0
Demand deposits	189.4	199.9	230.1	238.6	257.3	261.7	273.3
Time deposits	209.5	237.7	249.3	233.2	258.8	298.4	332.3
(Changes in percent of beginning-of-period money stock, except where indicated otherwise)							
Net foreign assets	7.2	15.9	4.3	5.9	11.2	0.6	1.2
BCEAO	5.8	14.2	3.2	2.3	11.2	0.6	1.2
Commercial banks	1.4	1.6	1.1	3.7	0.0	0.0	0.0
Net domestic assets	3.7	-8.6	3.8	2.7	-2.1	7.9	7.0
Net credit to the government	-4.4	-27.4	1.4	-1.1	-7.1	1.7	-1.2
Credit to the economy (percentage growth)	21.5	13.7	10.9	11.2	7.3	9.1	11.8
Other items (net)	-4.5	10.0	-5.1	-3.9	0.0	0.0	0.0
Broad money (M2)	10.8	7.3	8.1	8.6	9.2	8.4	8.1
Memorandum items	(In percent, unless otherwise indicated)						
Velocity (annual average)	4.4	4.4	4.5	4.4	4.4	4.3	4.3
Nominal GDP growth	6.5	7.4	8.2	8.1	8.5	8.1	8.1
Credit to the economy/GDP	14.6	15.5	15.4	15.9	15.8	15.9	16.4

Sources: Senegalese authorities; and Fund staff estimates and projections.

¹ Excluding the balance sheets of the liquidated banks.

Table 8. Senegal: Balance of Payments, 1996-2001

(In billions of CFA francs, unless otherwise indicated)

	1996	1997	1998		1999	2000	2001
			Prog.	Est.		Projections	
Trade balance	-143.9	-153.6	-156.7	-160.8	-184.8	-179.0	-176.6
Exports, f.o.b.	504.5	544.2	578.6	569.4	612.1	675.6	740.6
Of which: fish products	51.3	120.4	137.2	137.2	146.2	162.9	170.6
Imports, f.o.b.	-648.4	-697.8	-735.3	-730.2	-796.9	-854.6	-917.2
Of which: petroleum	-79.4	-98.0	-90.8	-80.8	-84.5	-95.5	-101.1
Services (net)	-57.8	-58.7	-64.7	-41.1	-37.1	-38.5	-41.2
Credits	322.5	339.5	353.5	353.5	373.3	388.8	402.0
Of which: investment income	14.8	15.3	15.8	15.8	16.2	16.7	17.2
Debits	-380.2	-398.3	-418.2	-394.6	-410.5	-427.3	-443.2
Of which: interest on public debt 1/	-58.6	-59.0	-60.2	-36.8	-39.1	-39.2	-39.1
Unrequited transfers (net)	169.3	170.5	155.1	155.0	139.6	133.8	134.3
Private (net)	20.5	21.2	21.8	21.8	22.5	23.2	23.9
Public (net)	148.8	149.3	133.3	133.1	117.1	110.7	110.5
Of which: gross official transfers	157.4	158.1	142.3	142.1	126.3	120.0	120.0
Budgetary grants	17.7	11.9	0.0	18.7	4.8	0.0	0.0
Budgeted development projects	139.2	53.7	50.4	63.1	70.0	70.0	70.0
Other	0.5	92.5	91.9	60.3	51.5	50.0	50.0
Current account balance (deficit -)	-32.3	-41.9	-66.3	-47.0	-82.3	-83.6	-83.5
Current account balance (excluding gross official transfers)	-189.7	-200.0	-208.6	-189.1	-208.6	-203.6	-203.5
Capital account	31.3	97.8	28.1	63.0	153.0	87.4	92.1
Public sector (net)	33.9	44.2	-4.0	58.6	69.4	23.9	31.6
Drawings	103.5	117.8	71.5	117.7	131.6	90.0	100.0
Amortization due 1/	-69.6	-73.6	-75.5	-59.1	-62.2	-66.1	-68.4
Other capital	-2.7	53.6	32.1	4.4	83.6	63.5	60.5
Deposit money banks	7.6	-8.9	0.0	-21.2	0.0	0.0	0.0
Other 2/	-10.3	62.5	32.1	25.6	83.6	63.5	60.5
Overall balance (deficit -)	-1.1	55.9	-38.2	16.0	70.7	3.8	8.6
Debt relief 1/ 3/	36.2	25.3	39.9	--	--	--	--
Financing	-28.1	-72.8	-1.7	-16.0	-70.7	-3.8	-8.6
Net foreign assets (BCEAO)	-28.1	-76.9	1.0	-13.3	-70.7	-3.8	-8.6
Operations account and other	-23.0	-68.8	8.0	-6.4	-74.4	-12.9	-3.2
Net use of Fund resources	-5.1	-8.1	-7.0	-6.9	3.7	9.2	-5.4
Drawings	17.7	28.6	28.8	28.4	23.1	22.9	11.3
Repayments	-22.8	-36.8	-35.8	-35.3	-19.3	-13.7	-16.7
Payments arrears (reduction -)	0.0	2.7	-2.7	-2.7	0.0	0.0	0.0
Memorandum items:	(In percent of GDP, unless otherwise indicated)						
Current account							
Including gross official transfers	-1.4	-1.6	-2.3	-1.7	-2.7	-2.6	-2.4
Excluding gross official transfers	-8.0	-7.8	-7.7	-6.8	-7.0	-6.3	-5.8
External debt service (after debt relief) 3/ 4/	15.0	17.6	15.6	11.1	9.0	6.8	7.1
NPV debt-to-exports ratio 5/	...	152.6	...	130.9	122.2	111.6	...
NPV debt-to-revenue ratio 6/	...	306.7	...	258.0	236.0	226.3	...
NPV debt-to-GDP ratio 7/	...	51.9	...	43.0	39.5	36.1	...
Export of goods and nonfactor services (In percent of GDP)	34.1	34.0	32.0	32.8	32.4	32.3	32.1
Exchange rate (CFA francs per SDR)	742.7	803.2	...	795.6	...	...	...
(CFA francs per US\$)	511.6	583.7	...	586.7	...	...	...

Sources: Senegalese authorities; and staff estimates.

1/ Beginning in 1998, debt service is net of debt relief obtained from the Paris Club stock-of-debt operation of June 1998.

2/ Includes private capital and errors and omissions.

3/ Includes Paris Club deferral (1995-97), debt cancellation (1995).

4/ In percent of exports of goods and nonfactor services.

5/ Derived by taking the CFAF figure for the NPV of the stock of debt, calculated in the DSA in EBS/98/68, as a ratio to current data on exports of goods and non-factor services for each year, and not a three year moving average.

6/ Derived by taking the CFAF figure for the NPV of the stock of debt, calculated in the DSA in EBS/98/68, as a ratio to current data on government revenue.

7/ Derived by taking the CFAF figure for the NPV of the stock of debt, calculated in the DSA in EBS/98/68, as a ratio to current estimates of nominal GDP.

Table 9: Senegal: Restructuring of Nonfinancial Public Sector, 1994-2000 1/

(In millions of CFA francs, unless otherwise indicated)

	<u>Initial Government's Share</u> (In per- cent)		Planned Govern- ment share	Turnover (1997)	Net worth (1997)	Net Profits (1997)	Comments
Total	208,168			454,741	321,136	32,300	
Restructuring during 1994-97	57,249			85,239	147,837	29,154	27.5 percent of portfolio
Rice import monopoly (CSSP)	1,375	100	0	...	...	...	Liquidation
Sanitation company (SIAS)	1,000	67	0	...	...	...	Liquidation
Hotel (SH-SALY)	215	43	0	...	...	...	Liquidation
Telecommunications company (SONATEL)	50,000	100	25	77,773	72,779	29,981	Partial privatization
Insurance company (ASACE)	150	100	25	32	501	-2	Partial privatization
Water distribution (SONES)	3,928	100	100	7,434	74,557	-825	Private management
Textile factory (SOTEXKA)	581	77	77	...	...	...	Five-year leasing
Restructuring during 1998	5,624			6,914	-252	-405	2.7 percent of portfolio
Hotel in Dakar (SPHU-Teranga)	587	32	0	...	...	...	Privatization
Phosphate mining (SSPT)	500	50	0	2,788	1,438	-179	Privatization
Retail store (SONADIS)	825	90	0	...	...	...	Total privatization
Shipyards (Dakar-Marine)	3,522	97	0	2,166	-5,296	-492	Liquidation
Housing (HAMO)	190	95	0	1,960	3,606	266	Sold
Restructuring programmed for 1999	84,481			200,106	59,716	-11,902	40.6 percent of portfolio
Electricity company (SENELEC)	63,000	100	41	75,943	52,515	-3,920	Privatized March 99
Groundnut industry (SONACOS)	8,010	80	0	87,126	15,152	1,636	Privatization scheduled July 99
Airline (SONATRA-Air Senegal)	1,451	93	50	1,770	504	-774	Privatized March 99
Urban transportation (SOTRAC)	1,605	64	0	1,542	-19,491	-9,484	Privatization scheduled September 99
Industrial promotion (SONEPI)	92	61	20	78	-307	-114	Privatization scheduled September 99
Management company (SODIDA)	35	64	49	219	137	-4	Privatization scheduled November 99
Tapestry (MSAD)	17	100	0	69	365	55	Privatization scheduled September 99
Luxury hotel in Dakar (Mérédien)	...	100	0	...	...	...	Privatization scheduled Aug. 99
Cotton ginneries (SODEFITEX)	581	77	30	17,330	2,557	69	Privatization scheduled November 99
Railways (SNCS)	7,000	100	100	12,372	8,625	551	Line Dakar-Bamako to be privatized ²
Housing (SICAP)	2,457	90	49	2,553	1,215	-55	Privatization scheduled end 99

Table 9: Senegal: Restructuring of Nonfinancial Public Sector, 1994–2000 1/

(In millions of CFA francs, unless otherwise indicated)

	Initial Government's Share (In per-cent)		Planned Government share	Turnover (1997)	Net worth (1997)	Net Profits (1997)	Comments
Engineering (CEREEQ)	55	100	50	415	-428	76	Privatization scheduled September 99
Drilling contractor (SONAFOR)	178	74	0	689	-1,128	62	Privatization scheduled end-99
Restructuring programmed for 2000	2,316			30,685	-9,346	-943	1.1 percent of portfolio
Trade promotion agency (CICES)	82	59	n.a.	117	-148	-288	Preparation for privatization under way
Cinematography (SIDECE)	727	95	34	111	-487	-475	Preparation for privatization under way
Lottery (LONASE)	110	100	n.a.	27,744	-6,311	-157	Preparation for privatization under way
Tourism (SAPCO)	1,085	99	49	357	-3,678	-173	Preparation for privatization under way
Insurance (SENRE)	312	52	26	2,356	1,278	150	Preparation for privatization under way
Remaining part of the portfolio	58,498			142,632	123,181	16,396	28.1 percent of portfolio
Chemical industry (ICS)	31,876	58	47	114,677	81,253	15,000	Partial privatization
Social housing (SN-HLM)	6,000	100	51	2,078	3,341	-297	Partial privatization
Radio and television (RTS)	7,000	100	100	2,151	7,659	1,040	
Port of Dakar (SN-PAD)	5,000	100	100	10,877	20,320	1,264	
Post office	2,900	100	100	9,603	8,442	248	
Agricultural services (SAED)	2,500	100	100	94	2,172	0	
Agricultural services (ISRA)	411	100	100	954	-1,673	137	
Petroleum holding (PETROSEN)	1,200	100	100	2,198	1,667	-996	
Small companies	1,611	...	...	...	...	...	

Sources: Senegalese authorities; and staff calculations.

¹ Includes 54 enterprises, of which 37 with government majority holding.

² With public ownership of principal assets.

Table 10. Senegal: Selected Demographic and Social Indicators

	Latest Single Year			Same Region/Income Group	
	1970-75	1980-85	1990-96	Sub-saharan Africa	Low-income countries
(in units indicated)					
Population					
Total population, mid-year (millions)	4.8	6.4	8.5	596.4	3,236.2
Growth rate (percent annual average)	2.9	2.8	2.5	2.7	1.8
Urban population (percent of population)	34.2	37.9	44.4	31.7	29.1
Total fertility rate (births per woman)	6.5	6.6	5.7	5.6	3.2
Life expectancy at birth (years)					
Total	43	46	50	52	63
Male	42	45	49	51	62
Female	44	48	52	54	64
Labor force					
Total labor force (population aged 15-64, in thousands)	2,242	2,883	3,822	262,524	1,604,011
Employment in agriculture (percent of total labor force)	82	79	77	65	...
Education					
Gross primary school enrollment rate (percentage of school-age population)					
Total	41	56	69	74	100
Male	48	67	76	83	111
Female	34	46	62	65	89
Adult illiteracy rate (percentage of population above age 15)					
Total	...	68	62	57	45
Females	...	81	77	68	58
Health and nutrition					
Population per hospital bed	775	...	1,923	1,316	...
Infant mortality rate (per 1000 live births)	122	80	60	91	68
Immunization rate (percentage under 12 months)					
Measles	..	40	80	56	80
DPT	..	54	80	55	81
Access to safe water (percent of population)					
Total	...	44	50	45	76
Urban	...	63	82	63	80
Rural	...	27	28	34	72
Food production index (1987=100)	118	86	101	116	137

Source: The World Bank, *World Development Indicators*, 1998.

SENEGAL

Second Annual Arrangement under the Enhanced Structural Adjustment Facility

Attached hereto is a letter, dated June 4, 1999, from the Minister of Economy, Finance, and Planning of Senegal, with an annexed Memorandum on Economic and Financial Policies for 1999/2000 ("Memorandum"), requesting from the International Monetary Fund the second annual arrangement under the Enhanced Structural Adjustment Facility, and setting forth the objectives and policies of the program to be supported by that arrangement.

To support these objectives and policies, the Fund grants the requested arrangement in accordance with the following provisions, and subject to the Instrument to Establish the Enhanced Structural Adjustment Facility Trust, as amended:

1. Under the second annual arrangement, Senegal will have the right to request three loans:
 - (a) the first loan, in an amount equivalent to SDR 14,268,000, will be available on July 12, 1999, and
 - (b) the second loan, in an amount equivalent to SDR 14, 268,000, will be available after January 20, 2000, subject to paragraph 2 below; and
 - (c) the third loan in an amount equivalent to SDR 7,134,000 will be available after June 15, 2000, subject to paragraph 4, below
2. Senegal will not request disbursement of the second loan specified in paragraph 1(b) above:
 - (a) if the Managing Director finds that the data as of September 30, 1999, indicate that:
 - (i) the surplus on the overall basic budgetary balance, or
 - (ii) the ceiling on net bank credit to the central government, or

- (iii) the zero ceiling on the cumulative amount of nonconcessional loans with an original maturity of less than or equal to 12 years contracted or guaranteed by the government, excluding normal trade credits for imports, or
- (iv) the CFAF 8 billion ceiling on the cumulative amount of nonconcessional loans with an original maturity of more than 12 years contracted or guaranteed by the government,

described in paragraph 38 of, and in Table 2 annexed to, the Memorandum are not observed; or

(b) if, by September 30, 1999, Senegal has not carried out its intentions with respect to the structural performance criteria regarding:

- (i) the completion and communication to Fund staff of a study on the factors for the delays in spending regular budgetary allocations in the areas of education and health and an action plan to reverse this trend as described in paragraphs 14 and 39 of, and in Table 3 annexed to, the Memorandum; or
- (ii) the elimination of 473 *précision tarifaires* granting customs duty or VAT discounts or serving as identifiers as described in paragraphs 16 and 39 of, and in Table 3 annexed to, the Memorandum; or
- (iii) the elimination of the variable levy on broken rice and the surtax on whole rice in order to streamline the taxation of rice imports (whole and broken rice) in line with WAEMU's supplementary protection mechanisms, as described in paragraphs 16 and 39 of, and in Table 3 annexed to, the Memorandum, or
- (iv) the submission to Parliament at its October 1999 session of a draft law amending existing pension legislation, as described in paragraphs 19 and 39 of, and in Table 3 annexed to, the Memorandum, or
- (v) the payment by SENELEC/SAR of the balance of all the arrears on account of fuel oil delivered, as described in paragraphs 15 and 39 of, and in Table 3 annexed to, the Memorandum, or
- (vi) the communication to the Fund staff of the draft 2000 budget law including the substitution of the customs stamp duty by a 1 percent statistical tax, the incorporation of the enlarged definition of investments, and revenue and expenditure measures

needed to close a projected financing gap of CFAF 11.6 billion as described in paragraphs 16 and 39 of, and in Table 3 annexed to, the Memorandum; or

(c) if, by December 31, 1999, Senegal has not carried out its intentions with respect to the elimination of 392 *précisions tarifaires* pertaining to products subject to zero or positive nominal protection as described in paragraph 16 of, and in Table 3 annexed to, the Memorandum, or

(d) if Senegal:

- (i) has imposed or intensified restrictions on payments and transfers for current international transactions; or
- (ii) has introduced or modified multiple currency practices; or
- (iii) has concluded bilateral payments agreements that are inconsistent with Article VIII; or
- (iv) has imposed or intensified import restrictions for balance of payments reasons; or
- (v) has accumulated any new domestic payments arrears, as described in paragraph 38 of, and in Table 2 annexed to, the Memorandum; or
- (vi) has accumulated any new external payments arrears, as described in paragraph 38 of, and in Table 2 annexed to, the memorandum; or

(e) until the Fund has determined that the midterm review of Senegal's program referred to in the fifth paragraph of the attached letter and in paragraph 39 of the Memorandum attached thereto has been completed.

If any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan specified in paragraph 1(b) above may be made available only after consultation has taken place between the Fund and Senegal, and understandings have been reached regarding the circumstances in which Senegal may request that second loan.

3. Before approving the third annual arrangement, the Fund will appraise the progress of Senegal in implementing the policies and reaching the objectives of the program supported by the second annual arrangement taking into account primarily:

- (a) the indicators referred to in paragraphs 38, 39, and 40 of, and in Tables 2 and 3 annexed to, the Memorandum;
- (b) imposition or intensification of restrictions on payments and transfers for current international transactions;
- (c) *introduction or modification of multiple currency practices;*
- (d) conclusion of bilateral payments agreements which are inconsistent with Article VIII; or
- (e) imposition or intensification of import restrictions for balance of payments reasons.

4. Senegal will not request disbursement of the third loan specified in paragraph 1 (c) above until:

- (a) the Managing Director finds that the data as of March 31, 2000, indicate that the respective performance criteria have been observed, and
- (b) the structural performance criteria to be defined during the midterm review of Senegal's program referred to in the fifth paragraph of the attached letter and in paragraph 40 of the Memorandum attached thereto have been observed, and
- (c) the end-term review referred to in paragraph 40 of the Memorandum has been completed.

5. Senegal will provide the Fund with such information as the Fund requests in connection with the progress of Senegal in implementing the policies and reaching the objectives supported by these arrangements.

6. In accordance with the fourth paragraph of the attached letter, during the period of the second annual arrangement, Senegal will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the second annual arrangement and while Senegal has outstanding financial obligations to the Fund arising from loans under the arrangement, Senegal will consult with the Fund from time to time, at the initiative of the Government or whenever the Managing Director requests consultation on Senegal's economic and financial policies. *These consultations may include correspondence and visits of officials of the Fund to Senegal or of representatives of Senegal to the Fund.*

REPUBLIC OF SENEGAL

MINISTRY OF ECONOMY,
FINANCE AND PLANNING

The Minister

Dakar, June 4, 1999

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Camdessus:

1. On April 20, 1998, the Executive Board of the International Monetary Fund (IMF) approved a three-year arrangement under the Enhanced Structural Adjustment Facility (ESAF) for Senegal. The first annual arrangement under this facility expired on February 28, 1999. To consolidate the results achieved thus far, insure sustained economic growth, and reinforce the financial viability, the government of Senegal has adopted the economic reform program for the second year, emphasizing, inter alia, the strengthening of structural reforms and the continuation of sound budgetary and monetary policies.
2. To support implementation of its program, the government of Senegal is requesting from the International Monetary Fund a second annual arrangement under the ESAF. In cooperation with the staffs of the Fund and the World Bank, the government of Senegal has updated its medium-term economic and financial policy framework paper (PFP), which is being forwarded to you today under separate cover. The attached memorandum on economic and financial policies, based on the policy framework paper mentioned above, describes the objectives and policies that the government intends to implement during the next three years, as well as the specific policies and measures that it has adopted for the second year of the program, from April 1, 1999 to March 31, 2000.
3. The government will communicate to the Fund all the information requested by the Fund to evaluate Senegal's progress in implementing its economic and financial policy and achieving the program objectives.
4. The government believes that the policies and measures set forth in the attached memorandum will enable it to achieve its program objectives, but is ready to adopt promptly any additional measures that may prove necessary to this end. During the period of the second annual ESAF arrangement, the government will consult with the Managing Director on the adoption of any measure deemed appropriate, at its own initiative or whenever the Managing Director requests such a consultation. In addition, after the period covered by the

second arrangement and while Senegal has financial obligations to the Fund arising from loans granted under this arrangement, the government will consult with the Fund periodically, at the government's initiative or whenever the Managing Director of the Fund requests a consultation on Senegal's economic and financial policies.

5. In any event, the Fund and the government of Senegal will conduct a first review of the 1999/2000 program supported by the second annual ESAF arrangement, which will be completed by end-December 1999, and a second review, which will be completed by June 15, 2000 in order to review the progress achieved in the program's implementation.

Sincerely yours,

/ s /

Mouhamadou El Moustapha Diagne
Minister of Economy, Finance, and Planning

Attachment: Memorandum on Senegal's Economic and Financial Policies for 1999

SENEGAL

Memorandum on Economic and Financial Policies for 1999

June 4, 1999

I. INTRODUCTION

1. In 1998 the Government of Senegal embarked on a new medium-term economic and financial program supported by a three-year arrangement under the Enhanced Structural Adjustment Facility (ESAF), covering the period 1998–2000. The program is designed to build on the positive results achieved during the previous period (1994–97), to promote strong and sustained growth and reduce poverty, while reinforcing domestic and external financial viability. To achieve these objectives, the government has focused its actions on the consolidation of the fiscal position, liberalization of the trade regime, and on the deepening of structural reforms, including an ambitious privatization program; decisive reforms in the energy, transportation, and agriculture sectors; the modernization of public administration; the creation of an environment propitious for private sector development; and an intensification of efforts to develop human resources. To support these reforms, Senegal has continued to benefit from substantial assistance from the international community, in particular from the International Monetary Fund, the World Bank, the African Development Bank, the European Union, and several bilateral partners, which also granted a stock of debt operation in June 1998 under the aegis of the Paris Club.

2. As indicated in Section II of this memorandum, implementation of the first annual program has been satisfactory, though there were delays in completing several structural reforms. The government of Senegal is determined to make further progress in its reform program under a second annual program to be supported by the ESAF arrangement, as outlined in Sections III and IV.

II. RECENT ECONOMIC DEVELOPMENTS

3. Under the first year's ESAF-supported program, economic developments in Senegal were positive, with increased growth, lower inflation and a reduced external current account deficit compared to 1997. Real GDP growth is estimated to have been 5.7 percent in 1998, with a strong performance in the secondary and especially tertiary sectors offsetting a further decline in agricultural production. Inflation was reduced to an end-period rate of 0.9 percent compared with an increase of 1.9 percent at end-December 1997, helped in part by a decline in the retail prices of petroleum products. The external current account deficit (excluding official transfers) improved slightly compared with the previous year, partly because of the

impact of debt service reduction, following the stock of debt operation under the aegis of the Paris Club.

4. Budget execution in 1998 was better than programmed,¹ with overall revenue exceeding the target, and total expenditure held below program limits. The basic fiscal surplus,² at 2.3 percent of GDP, was nearly double the amount programmed, while the overall budget deficit (on a commitment basis and excluding grants), at 1.2 percent of GDP, was well below the 2 percent of GDP programmed. Government revenue exceeded the program target by 1 percentage point of GDP to reach CFAF 460 billion (16.7 percent of GDP), largely because of strong receipts from taxes on foreign trade. These were higher than forecast, despite the tariff reduction implemented in April 1998 in the context of WAEMU's Common External Tariff (CET). The higher-than-expected customs duty collection was the result of continued efforts at improving customs administration, widening of the tax base, and also a lesser recourse by importing industries to the tariff discounting mechanism, the *précisions tarifaires*. Public expenditure, at 17.8 percent of GDP, was in line with the program target, with the overruns on the special and correspondent accounts being offset by lower-than-targeted outlays on current expenditures. The latter were below forecast because of a lower wage bill due to delays in introducing the merit-based promotion system in the civil service, reduced interest payments on account of the 1998 Paris Club stock of debt operation, and a lower level of subsidies on butane gas and fuel oil sold to SENELEC in line with depressed international oil prices. However, advances granted by the Treasury to cover the operational losses of the National Retirement Fund (FNR) and the Urban Community of Dakar, and delays in reimbursements by the National Post Office of advances granted by the Treasury contributed to a deterioration in the deficit on the special accounts and correspondent accounts.

5. The money supply rose in line with nominal GDP growth. Senegal's net foreign assets increased by CFAF 34.5 billion (5.9 percent of beginning-of-period money stock), making a significant contribution to the increase of the net foreign assets of the Central Bank of the West African Monetary Union (WAMU). The strong fiscal performance enabled the authorities to reduce net bank claims on the government below program projections. Credit to the private sector increased by 11.2 percent. The banking system remains broadly healthy, and compliance with the prudential ratios of the regional *Commission bancaire* was largely satisfactory, although the level of insider lending in one bank remains above the regional norm; on the other hand, the restructuring and recapitalization of the Banque Sénégal-Tunisienne were completed.

¹This outcome is based on the original narrow definition of investment expenditures (excluding public investment spending, directly financed and executed by donors), which was used in the design of the 1998 program.

²The basic fiscal balance is defined as total government revenue, excluding grants, less total expenditure, excluding externally financed investment.

6. Significant progress was made towards adoption of WAEMU's CET. Firstly, the first-phase in tariff reductions was implemented in April 1998, which lowered the unweighted average assessed duty rate on non-WAEMU dutiable imports from 19 percent to 16.3 percent; secondly, the government adopted in January 1999³ a classification of imported goods into four tariff categories consistent with the WAEMU guidelines. Pending the adoption of community-wide arrangements, existing surtaxes were maintained. The number of *précisions tarifaires* had been halved in April 1998, with the result that the c.i.f. value of imports benefiting from the application of *précisions tarifaires* fell by 45 percent compared to 1997. Nonetheless, because of a delay in the uniform application of appropriate tariff classifications by all WAEMU member countries, the *précisions tarifaires* were not fully eliminated by end-1998 as had been planned. Furthermore, petroleum product marketing and pricing were fully liberalized. The authorities began adjusting domestic retail prices automatically each month to reflect changes in world market price of petroleum products and of the value of the US dollar; as a result, it was possible to reduce below projections the subsidies granted on butane gas, and on the fuel used by SENELEC to generate electricity. Nevertheless, SENELEC was unable to pay the distributors for fuel deliveries and accumulated large arrears to them. As a result, distributors accumulated arrears to the refinery SAR, which, in turn failed to pay an equivalent amount in taxes to the Treasury. Also, the amendment terminating the convention between the state and the refinery SAR is still pending.

7. Five enterprises were privatized in 1998,⁴ out of 13 originally slated for sale or liquidation. The urban transport company (SOTRAC) was liquidated as planned; however, the strategic partner selected to take over the concession and the assets of the former company withdrew in early 1999. The strategic partner for SENELEC was selected in February 1999 and has assumed full management of the company. The buyer of Air Senegal was chosen in March 1999 and will start operating in June 1999. The call for bids for the groundnut company SONACOS was launched in February 1999, and the selection of the strategic partner is scheduled for July 1999. A report on the economic and financial performance during 1997 of the remaining public enterprises was provided to Fund staff as scheduled. Some delays were encountered in the planned improvements in investment programming and implementation of the public expenditure reviews. In the area of good governance, the first phase of the user survey on the quality of public services was completed. The judicial reform is progressing, including efforts to step up the training of magistrates and to modernize the courts.

8. The quantitative performance criteria and benchmarks were observed, with the exception of technical deviations in three criteria at end-June, 1998. The structural

³Except for 150 tariff lines for which Senegal has made reservations and an end-use tariff discounting mechanism for industrial inputs (*précisions tarifaires*).

⁴ The Thiès phosphates company (SSPT); the Teranga Hotel; HAMO, a housing company; Dakar-Marine, a shipyard; and SONADIS, a distribution company.

performance criteria and benchmarks were also observed, except for (a) a delay until October 13, 1998, in the end-August benchmark pertaining to the call for bids for the privatization of the electricity company (SENELEC), and (b) the benchmark for completion of a plan for the reform of the National Retirement Fund (FNR) because of protracted negotiations with labor unions on measures that had been proposed for restructuring the fund. Waivers were granted for the nonobservance of the criteria after implementation of corrective measures.

III. MEDIUM-TERM STRATEGY AND OBJECTIVES

9. Taking into account the generally satisfactory results achieved in 1998, the government has updated its medium-term strategy and objectives as set out in the Policy Framework Paper for 1999–2001. The government maintains its basic medium-term objectives to preserve macroeconomic stability and external viability, and to accelerate and deepen structural reforms in order to achieve strong and sustainable growth and to significantly reduce poverty. The program projects real GDP growth of about 6 percent a year; seeks to keep inflation below 3 percent; to maintain the basic fiscal balance in surplus, the overall budget deficit (on a commitment basis and excluding grants) below 4.4 percent of GDP;⁵ and to lower the external current account deficit (excluding official transfers) to around 6 percent of GDP in 2001, consistent with expected flows of project assistance and private foreign investment.

10. Five key areas have been identified for action to accelerate and deepen structural reforms. First, the government will complete the **privatization program** and restructuring of the enterprises remaining in its portfolio by end-2000.⁶ Second, with the assistance of the World Bank, it will embark upon an ambitious institutional reform of the **transportation sector** so as to lower costs of services and improve the competitiveness of the economy. Third, also with World Bank and other donors' assistance, the authorities will accelerate the reforms in the **energy, water, and agricultural sectors**. Fourth, they will deepen action for **private sector development and investment promotion**, by reducing the structural rigidities that impede private initiative, and by streamlining regulatory procedures affecting economic activity and investment. Fifth, the government will implement a coherent program of **good governance** with emphasis on: fostering the rule of law, vigorously tackling corruption and promoting transparency, reform and modernization of public administration and public services, improvement of the judicial system and its operations, and implementation of appropriate decentralization policies.

⁵Calculated on the basis of Fund staff projections, taking into account amounts of foreign-financed investment outlays likely to be executed directly by donors.

⁶The evaluation of CICES and LONASE will be initiated in 2000 and their privatizations could take place in 2001.

IV. THE 1999 PROGRAM

11. Consistent with the revised medium-term strategy, under the 1999 program (April 1, 1999–March 31, 2000), the government projects a GDP growth of about 6 percent, led by a recovery in agricultural output, and seeks to limit inflation at 2 percent and contain the external current account deficit (excluding official transfers) at 7 percent of GDP. The program also aims at increasing domestic savings and investment by about one percentage point of GDP each, to 14 and 20 percent of GDP, respectively.

A. Government Finance

12. The original budget for 1999⁷ projected a basic fiscal surplus of 2.6 percent of GDP and an overall budget deficit (on a commitment basis and excluding grants) of 3.3 percent of GDP. However, in May 1999, the government submitted a supplementary budget bill to Parliament, which proposes to utilize accumulated privatization receipts amounting to CFAF 60 billion (equivalent to 2 percent of GDP), of which CFAF 20 billion will be devoted to current outlays of an exceptional and nonrecurrent nature, including severance pay for employees of enterprises liquidated or privatized in 1998. This amount also includes CFAF 9.2 billion to regularize outlays already made in 1998, of which CFAF 5 billion is to pay for services rendered in 1998 by the preshipment inspection company. The government intends to spend the remaining CFAF 39.8 billion, to a large extent, on rural infrastructure projects, including CFAF 3.1 billion for the construction of two regional hospitals. CFAF 23 billion is expected to be spent in 1999, and the balance in 2001. The investment projects to be undertaken in 1999 have been reviewed by the World Bank on the basis of the evaluation criteria used for the public investment program. With this supplementary finance law, the consolidated basic surplus will be equivalent of 1.7 percent of GDP, and the overall fiscal deficit (on a commitment basis and excluding grants) will amount to 4.4 percent of GDP.

13. In line with its commitment under the 1998 program, in 1999 the government intends also to reduce the end-1998 stock of statutory advances granted by the central bank (BCEAO) by CFAF 9 billion. The balance of the statutory advances at December 31, 1999 will be eliminated by year-end 2001 through the use of Treasury deposits at the central bank and possibly a recourse to the financial market. In order to minimize the financial cost associated with the possible issuance of Treasury bills to reduce the remaining statutory advances, the Government has decided to limit the volume of treasury bills to be issued by December 31, 2001 to a maximum of CFAF 35 billion, equivalent to 57 percent of the outstanding balance of statutory advances as of December 31, 1999 (CFAF 61.4 billion). The end-of-program review will examine this issue, taking into account WAEMU's stability pact and Senegal's financial situation. Notwithstanding the stipulations of this stability pact,

⁷Based on a comprehensive definition of investment outlays, which includes investments directly financed and executed by donors.

however, the percentage of statutory advances to be reduced through recourse to the financial market cannot exceed 57 percent as indicated above.

14. The bulk of the additional investment outlays in the supplementary budget will be directed at improving rural infrastructure, including rural road rehabilitation and water wells, which would ultimately benefit the poorer segments of the population. The budgetary allocations already made for the health and education sectors under the 1999 budget are in line with the understandings reached with the World Bank. No additional allocations is being provided in these areas in the supplementary finance law because of bottlenecks encountered in previous years in spending all the regular budgetary allocations in these areas. The government will persevere with its policy of improving the implementation capacity of line ministries. In this regard, with the assistance of the World Bank, it will prepare a report identifying factors behind these bottlenecks and proposing remedial actions before end-September 1999. In the meantime, the government, with assistance from the World Bank and UNDP, will accelerate the implementation of the national program to alleviate poverty. Specific well-targeted programs to alleviate poverty in major urban centers will also be put in place by September 30, 1999.

15. Total **revenue** in 1999, taking into account a reduction of income taxes on low income salaries (estimated impact of CFAF 6 billion) is projected to reach CFAF 502.1 billion or 16.8 percent of GDP. The revenue projection incorporates the repayment, in two trenches, of tax arrears due by SENELEC/SAR, which were estimated at CFAF 7.2 billion at end-March 1999. A first tranche of CFAF 4 billion will be paid to the Treasury by June 15, 1999, and the remainder, estimated at around CFAF 3.2 billion, will be paid by September 30, 1999. The amendment formally ending the convention between the SAR and the government will be adopted before June 15, 1999. The potential revenue losses linked (a) to the full year impact of the tariff reform introduced in April 1998, (b) the increase from 60 to 80 percent in the abatement on intra-WAEMU imports of approved industrial products adopted on January 1, 1999, and (c) the introduction of the common tariff classification of imported products according to the WAEMU guidelines, are expected to be offset by the full year effect of the substitution of the petroleum price stabilization scheme with excise taxes, by the phasing out of the *précisions tarifaires*, and by a slightly more buoyant performance in VAT receipts. In addition, although these are not reflected in the revenue projections, the authorities will undertake a significant reduction in exemptions, in particular a rigorous control of those linked to contractual obligations, and reduce fraud, including through improvements in the computerized customs management system and the strengthened monitoring of suspensive customs duty arrangements.

16. The government will introduce the final phase of WAEMU's CET, as originally designed, on January 1, 2000. In line with the directives of the WAEMU, this reform will reduce the top duty rate from 25 to 20 percent, replace the 5 percent stamp duty levied on most imports with a statistical tax of 1 percent, and fully exempt intra-WAEMU imports of approved industrial products. These measures are estimated to lead to a loss in revenue of _

approximately CFAF 33 billion (equivalent to 1 percent of GDP) in the year 2000. The government will also implement the decisions, adopted in March 1999 at the regional level, on the use of temporary degressive surtaxes (TDP) and officially established minimum values for purposes of protection for certain products, and ensure that they are consistent with WTO rules. The current system of taxation of rice imports will be reformed before end-September 1999, based on the outcome of a study on the productivity of the rice sector that will be finalized by July 31, 1999. The envisaged taxation will apply to all rice imports—whole or broken—and will take into account, if needed, the supplementary protection mechanisms to the CET foreseen by WAEMU, namely officially established minimum values, the TDP, and the conjunctural import surcharge (TCI),⁸ which will result in an elimination of existing surtaxes. The Fund and the World Bank staffs will be consulted on both the study and the adoption of the new taxation system. Concerning the *précisions tarifaires*, the government will submit 655 *précisions* pertaining exclusively to social products (medications and school books) and subject to negative nominal protection to the WAEMU Commission, with a request to replace them by appropriate customs arrangements agreed upon at the regional level; a further 473 *précisions* discounting customs duties and VAT, or serving as identifiers, will be eliminated by September 30, 1999; finally the 392 remaining *précisions* pertaining to imports subject to a zero or positive nominal protection will be eliminated, at the latest, by December 31, 1999. Also, the government will lift its exception to 150 tariff lines in the common tariff classification, following a decision to be taken by the WAEMU on the reservations made by Senegal in this regard.

17. To make up for the customs revenue losses caused by the reduction in the external tariff and in the context of the agreed program of regional harmonization of indirect taxation, the government will introduce a single rate VAT on July 1, 2000, to allow sufficient time for careful preparation. Based on the need to compensate revenue losses and taking into account the recommendations of recent studies, including the one undertaken by the Fund's Fiscal Affairs Department, the government has decided to set the rate at 18 percent, in harmony with rates prevailing in most other WAEMU countries. The yield of this VAT will be enhanced if the number of exempted goods and services is strictly limited. Because of the introduction of the single rate VAT only on July 1, 2000, the projected full year losses of the introduction of the CET will not be fully compensated by the VAT in 2000. The government intends to offset the revenue shortfall by a number of specific revenue and expenditure measures to be agreed upon during the midterm review. Also, pending the adoption of the regional investment code within WAEMU, the government will not broaden the scope, or the provisions, of the Senegalese investment code. These measures will allow the tax base to expand, reduce tax evasion, and increase the efficiency of the customs and tax administrations. They will be supplemented with steps to reinforce monitoring of large taxpayers, generalize the use of the single identification number (NINEA), and complete the computerization of VAT collection.

⁸Pending the decisions expected to be taken by WAEMU's Council of Ministers by June 30, 1999.

18. In 1999, the government will continue to contain the growth of current **expenditure**, including the wage bill, in order to ensure adequate funding for priority social sectors, maintenance of public infrastructure and investment, in line with the recommendations of the Public Expenditure Review. The overall wage bill will grow moderately compared with 1998 and be limited to CFAF 170 billion. The number of civil servants (excluding volunteer teachers) will remain within the limit of 67,000 throughout the program period. Expenditure projections for 1999 fully take into account the cost of preparations for the presidential elections in early 2000, estimated at CFAF 4.5 billion. Any savings achieved on wages or other non-priority current outlays will continue to be directed toward social sectors. The share of the social sectors in the operating budget is expected to reach 38 percent, with 31 percent going to education and 7 percent going to health. In addition, consistent with the conclusions of the Public Expenditure Review, the government will improve budget management in the social sectors and the efficiency of the procurement code; it will take steps to strengthen absorptive capacity in the ministries of health, education, and justice, in the execution of their investment budgets.

19. The deficit on the special and correspondent accounts will be roughly in line with the 1998 outcome, given the delays in implementing the reforms of the FNR. The law amending the existing legislation will be submitted to Parliament during its October 1999 session and the measures, which tighten the provision of retirement benefits and aim at ensuring the retirement's fund long-term viability, will be implemented in 2000. Other transfers to the correspondent accounts, in particular to cover the deficit of the urban community of Dakar, will be strictly limited. An external audit of the operations of the *Fonds de Promotion Economique (FPE)* will be undertaken and finalized before December 31, 1999. This audit will be undertaken by an independent audit firm of international repute, selected by international bids. The Fund staff will be consulted at the time of the preparation of terms of the reference, the invitation letter, and the short list. A preliminary report will be drafted and forwarded to the Fund staff before the forwarding of the final report. Following the settlement of all past extra budgetary arrears and the payment of current debt maturities, gross outstanding domestic public debt was reduced from 13.7 percent of GDP at end-1997 to 11.4 percent at end-1998. Settlement of current obligations in 1999 should reduce the stock of domestic public debt to 9.6 percent of GDP by end-1999, and further to 6.3 percent by end-2001. The Government intends to achieve these targets while refraining from accumulating any new arrears.

20. The 1999 investment budget, drafted within the framework of the three-year public investment program (PTIP) for 1999–2001, provides for a 13 percent increase in capital expenditure. This is largely due to an increase in domestically-financed investment outlays through increased public savings, and the use of exceptional resources from privatization operations. In 1999, the government will fully implement the action plan for improving preparation and execution of the investment budget, for strengthening the ability of the Ministry of Finance to evaluate, select, and monitor projects and programs, for expanding the capacities of certain technical ministries to plan and execute programs, and for improving the

coordination between the government and donors. This will involve establishment of sectoral spending programs, such as those prepared for the health and education sectors, and the integration of all capital expenditures executed by the government in the presentation of budgetary operations. To this end, the government will transmit to the Fund before June 15, 1999, a complete series of investment outlays financed by external resources for the 1994-98 period.

21. The quarterly objectives set for budgetary revenue, the wage bill, the basic balance, net use of bank credit, and nonconcessional external loans are provided in the annexed Table 2. Any budget revenue shortfall or expenditure overrun, in particular the wage bill, relative to program limits, will be offset by additional tax revenue or a reduction of nonpriority expenditure, to ensure that the financial objectives of the program are met.

B. Monetary and Financial Sector Reform

22. The Central Bank of West African States (BCEAO) will continue to conduct a prudent monetary policy consistent with the growth, inflation, and balance of payments objectives of the WAMU. Money demand in 1999 is expected to grow broadly in line with nominal GDP. Net foreign assets are projected to increase by the equivalent of 11.2 percent of beginning of period money stock, which should again enable Senegal to make a significant net contribution to the net foreign assets of the BCEAO. The net domestic assets of the banking system are expected to decline by the equivalent of about 2 percent of beginning-of-period money stock, principally because the projected expansion of credit to the economy of about 9 percent will be more than offset by a decline in net credit to the government.

23. The health of the banking system has continued to improve. Following the restructuring of the Banque Sénégal-Tunisienne (BST), all banks now meet minimum capital requirements and most meet the other prudential regulations of the regional *Commission bancaire*. Efforts are being made to ensure that a large commercial bank observes the insider lending ratio, including, possibly, through the transfer of some of the loans. Nonetheless, the amount of non-performing loans remains a potential source of fragility, and a bank specializing in agricultural credit may continue to require close monitoring. The adequacy of the legal framework and of procedures essential for the recovery of non-performing loans will be significantly improved by the adoption of the OHADA recovery and enforcement procedures. The government will continue to support the efforts of the WAMU *Commission bancaire* to ensure that all prudential regulations are observed and to strengthen the prudential arrangements in the zone, and will vigorously support any recommendations resulting from on-site inspections. It will also pay particular attention to monitoring the development and solvency of mutual savings and loan institutions.

24. The government will continue to support improved access of Senegalese business to capital markets, including through the WAEMU regional stock exchange, which began operations in late 1998, so as to enhance the efficiency of intermediation between private savings and investments. It will also contribute to the expansion of the network of mutual

savings and loan institutions, and other forms of micro-lending, which is of particular importance for smaller enterprises.

C. Structural Reforms

25. The policy actions in the structural area are among the government's highest priorities for the acceleration of economic growth and the achievement of a lasting reduction in poverty. They include the privatization program, support for private sector development, the national program of good governance, key reforms in the energy, agriculture, and transport sectors, the development of human resources, improvements in education and health, poverty reduction, and initiatives under way to promote trade and economic integration among the WAEMU countries.

26. To complete the **reform of the public enterprise sector**, the government has selected eighteen enterprises to be privatized in 1999–2000. Thirteen of these will be put up for sale in 1999⁹, including six large enterprises: additional government shares in the electricity company (SENELEC); the groundnut processing company (SONACOS); the urban transport company (SOTRAC); the Méridien Président Hotel; the textile development company (SODEFITEX); and the Dakar-Bamako line of the national railway (SNCS). Concerning SOTRAC, steps are being taken to select a new strategic partner and a new, mostly privately owned operating company will start its activities in November 1999. The hotel Méridien-Président will be sold through international tender in August 1999. Concerning SODEFITEX, the government has submitted the draft law concerning its privatization to Parliament and intends to finalize this transaction by November 30, 1999; when finalized, the government's share of the capital will be lowered from 77.5 to 30 percent through a sale of shares to cotton producers, company employees, and small-holders. A company (SETI) has already been set up for the operation of the Dakar-Bamako line of the National Railways Company (SNCS); it will start operating by end-December 1999. The other companies scheduled to be privatized in 1999 are a tapestry weaving company (MSAD); an industrial promotion and research company (SONEPI); a real estate company (SICAP); and the company to manage the Dakar industrial estate (SODIDA). The status of the equipment research center (CEREEQ) will be reviewed, and the assets of the national drilling company (SONAFOR) will be sold.

27. In 2000, three other companies will be privatized, the film distribution company (SIDECE); the company for development of the Petite Côte (SAPCO); and the reinsurance company (SENRE). The assessment of the national lottery (LONASE) and the international foreign trade center (CICES) will start in 2000 and their privatization could take place only in 2001. After completing these sales, only a very small number of public service companies will remain in the government's portfolio and the Government's share in the combined share capital of public enterprises will have been reduced from 87 percent in 1994 to 43 percent in 2001. The remaining enterprises will continue to be restructured and strengthened.

⁹Including Air Senegal, which has already been sold.

Concerning the National Postal Services, the government will establish a strategy to guarantee its long-term viability. The government will provide Fund staff with the report on the economic and financial performance of public enterprises in 1998, as soon as possible, and in any case before end-December, 1999.

28. **Private sector development and investment promotion** is a top priority on the government's agenda. This includes, in particular, the adoption of a comprehensive private sector strategy to promote private initiative and develop a favorable environment for private sector activity, including through a reinforcement of the operation of business associations. To streamline administrative procedures for private operators and investors, the recommendations retained by the Government from the World Bank FIAS's investors roadmap report will be implemented before end-1999. These recommendations could include a better functioning of the one stop window for investors (*guichet unique*), a reduction in multiple sectoral approvals and registrations, and improved access to public land. Also, the Promotion Agency for investors and exporters will be set up before year-end.

29. The government is firmly committed to implement its **national program of good governance** which has four major components. First, the strengthening of the rule of law, together with improving public awareness and the deepening of the democratic system, will be foremost in the fight against corruption, including the reduction of all forms of fiscal fraud, for example customs fraud and irregularities in the granting of fishing licenses. Second, the reform of the central government will be deepened and will include a further review of existing civil service regulations and improved human resources management, including preparation of staffing plans for ministries. The new pay and promotion system, which had been delayed, will be effectively implemented before December 31, 1999. This system, which combines both automatic and merit components, constitutes an intermediate step towards a fully merit-based promotion system. The second phase of the user survey on the quality of public services (civil servants survey) will be undertaken before end-June, 1999 and will be followed immediately thereafter by a national focus-group discussion that will include representatives of all sectors of society. Third, the ongoing reform of the legal and judicial system will be accelerated, inter alia, by increasing budgetary allocations for the administration of justice, improving the training of magistrates and judicial personnel in commercial law, and implementing the new recovery and enforcement procedures consistent with the OHADA uniform acts on collateral. Fourth, the planned decentralization policies will focus on capacity building of local entities and their improved financing through the municipal development agency (ADM) and the regional development agency (ARD) which will be set up before end-1999.

30. Concerning **sectoral policies**, the government will move decisively to implement the measures outlined in the PFP in the priority areas of agriculture and fisheries, water management, energy, transport, and the environment. It will, in particular, adopt a concrete policy on the rational use and conservation of fish resources and launch a comprehensive reform of the transport sector with a wider participation of the private sector. Continued

reforms in the energy sector include, in particular, the launch before end-December 1999 of the capacity enhancing investments at the refinery (SAR).

31. **The development of human resources and poverty alleviation** are also high on the government agenda, which intends to implement fully the actions outlined in the PFP relating to the areas of health, education, population policy, the role of women, and the fight against poverty. In particular, the 10-year education and training program (PDEF) will be adopted before end-June, 1999. Also, as already noted, a study identifying the reasons for delays in spending regular budgetary allocations in the areas of health and education and an action plan to remedy this situation will be communicated to the Fund staff before end-September 1999.

32. Senegal actively participates in the initiatives under way to **promote economic integration among WAEMU countries**. These are guided by the action plan adopted in January 1999 by the WAEMU Heads of State and Government, which includes: reinforcing the convergence of macroeconomic policies and performance, continuation of structural reforms, and acceleration of regional integration, including through timely adoption of appropriate sectoral policies. The initiatives at the regional level pertain to moving to the last phase of the common external tariff, enacting the supplementary protection mechanisms, the common investment code, the harmonization of indirect and direct taxation, the common budgetary nomenclature, accounting and procedures framework, and ensuring the free movement of people, multilateral surveillance, sectoral policies, and structural funds.

V. EXTERNAL SECTOR AND DEBT SUSTAINABILITY

33. Senegal's medium term balance of payments outlook remains favorable. The worsening of the trade deficit projected in 1999, due to a faster increase in imports compared to exports, will result in a slight deterioration in the current account deficit as a ratio to GDP. Nonetheless, sizeable capital inflows linked to investments made by the chemical company (ICS), the privatization of SENELEC, and disbursements from the World Bank, are expected to lead to a surplus in the overall balance of payments position, and a build-up of net foreign assets with the BCEAO projected to reach some CFAF 70 billion. After taking into account financing expected from the World Bank and the Fund, the second year program supported by the ESAF arrangement will be fully financed.

34. Following the stock of debt reduction operation granted by Paris Club creditors in June 1998, the government has entered into bilateral agreements with most Paris Club creditors before the March 31, 1999 deadline. A second follow-up report was forwarded to the Paris Club Secretariat in May 1999. The government is taking steps to conclude bilateral agreements with other non-Paris Club bilateral creditors, on terms that are at least as favorable as those granted by Paris Club creditors.

35. To maintain a sustainable external debt position, the government will continue to seek foreign financing in the form of grants and highly concessional borrowing. It will not contract or guarantee any new nonconcessional loans,¹⁰ nor will it allow any accumulation of external arrears during the program period. In addition, the government will continue efforts to improve collection of data on grants and foreign assistance, with a view to reconcile these data with those recorded by donors, and those included in the budget.

VI. STATISTICAL ISSUES

36. The government is aware of the need to step up actions required to improve the quality and coverage of economic and social statistics. In addition to the measures already taken and those now being implemented to improve monetary, balance of payments, and production statistics, the government will implement an action plan to reduce remaining statistical weaknesses in the national accounts, foreign trade, industrial production, and social indicators. To this end, it will increase the resources allocated to its statistics departments and will seek technical assistance from traditional development partners and the IMF. Also, to facilitate preparation and monitoring of economic policy, the government will ensure regular publication of economic and social development statistics by the Directorate of Forecasting and Statistics of the Ministry of Economy, Finance, and Planning. Finally, the government will persevere with the implementation of the accelerated program to tackle the potentially devastating impact of the Y2K bug in the administration's computer systems, in particular the customs GAINDE system. The Y2K Pilot Committee has been provided with the appropriate financial resources in order to complete the task of making the computer systems immune to the year 2000 bug, by November 30, 1999.

VII. PROGRAM MONITORING

37. To ensure the successful implementation of the program, the government will take the following actions before June 15, 1999: (a) provide Fund staff with a complete time series (1994-98) on a comprehensive measure of public sector investment outlays, including previously off-budget investment expenditures financed by donors; (b) adoption of the legal amendment formally terminating the convention with the refinery SAR; (c) payment by SENELEC/SAR to the Treasury of CFAF 4 billion as a partial settlement of arrears for the delivery of fuel oil.

38. Program execution will be monitored through the performance criteria and benchmarks detailed in the annexed Tables 2 and 3. The quantitative performance criteria for

¹⁰With the exception of loans amounting to CFAF 8 billion granted by the regional investment bank BOAD with a maturity of more than 12 years and a concessional element between 10 and 35 percent.

end-September 1999 and the quantitative benchmarks for end-March 2000 are (a) floor on the basic balance for government financial operations narrowly defined, i.e., excluding grants and foreign-financed investment expenditure; (b) a ceiling on net bank credit to the government; (c) a zero ceiling on outstanding short-term external credits (excluding normal import credits); (d) a zero ceiling on nonconcessional external loans of more than one year and less than 12 years contracted or guaranteed by the government; and (e) a limit of CFAF 8 billion on nonconcessional borrowing with a maturity of more than 12 years to accommodate loans from the West African Development Bank (BOAD)¹¹. These variables will also serve as benchmarks for end-June and for end-December 1999. Cumulative quarterly targets for budgetary revenue and for the wage bill will constitute quantitative benchmarks. In addition, the program will include continuous performance criteria on nonaccumulation of new domestic payments arrears and nonaccumulation of new external payments arrears. Also, during the program period, the authorities will not impose exchange restrictions, introduce multiple currency practices, introduce bilateral payments arrangements that are inconsistent with Article VIII, and impose import restrictions for balance of payments reasons.

39. The structural performance criteria for end-September 1999 are (a) completion and communication to Fund staff by September 30, 1999 of a study on the factors that account for the delays in spending regular budgetary allocations in the areas of education and health and an action plan to reverse this trend (as described in paragraph 14); (b) elimination by September 30, 1999 of 473 *précision tarifaires* granting customs duty or VAT discounts or serving as identifiers (as described in paragraph 16); (c) elimination of the variable levy on broken rice and the surtax on whole rice by September 30, 1999 in order to streamline the taxation of rice imports (whole and broken rice) in line with WAEMU's supplementary protection mechanisms (as described in paragraph 16); (d) submission to Parliament for its October 1999 session of a draft law amending existing pension legislation (as described in paragraph 19); (e) payment by September 30, 1999 by SENELEC/SAR of the balance of all the arrears on account of fuel oil delivered (as described in paragraph 15); (f) communication to the Fund staff before September 30, 1999 of the draft 2000 budget law including the replacement of the customs stamp duty by a 1 percent statistical tax, the incorporation of the enlarged definition of investments, and revenue and expenditure measures needed to close a projected financing gap of CFAF 11.6 billion (as described in paragraph 16). The structural benchmarks are (a) bring the Hotel Meridien Président to the point of sale before August 31, 1999 (as described in paragraph 26); (b) communication to the Fund staff before September 30, 1999 of an action plan based on the recommendations of the FIAS report (as described in paragraph 28); (c) communication to the Fund staff before September 30, 1999 of an action plan by the customs to combat fraud, including the cleaning up of the operations of the customs brokers, the fight against the illegal trade in narcotics, and a stringent control of preferential customs regimes (as described in paragraph 29). Lastly, progress in program execution will be evaluated during a first review to be concluded by end-December 1999. This review will focus, inter alia, on (a) execution of the privatization program for 1999; (b) the

¹¹ The BOAD's operations in Senegal relate to agriculture and water management.

modalities for implementing the third stage of the tariff reform, beginning on January 1, 2000, including progress made in the full elimination of the remaining *précisions tarifaires*; (c) the major components of the 2000 budget, and in particular the modalities for adoption of a single rate VAT by July 1, 2000 at 18 percent to compensate for the revenue losses linked with the final phase of the CET; (d) the reduction of CFAF 9 billion in the year-end 1998 stock of statutory advances at the central bank; (e) revenue and expenditure measures to offset revenue shortfall stemming from the delayed introduction in the VAT and to close a financing gap projected at CFAF 11.6 billion; (f) progress in the preparation of FPE's external audit report; and (g) progress achieved in the implementation of measures easing procedures faced by investors based on the FIAS report. Also, during this review, the performance criteria for March 31, 2000 will be set.

40. The structural performance criterion for the second review is the elimination by December 31, 1999 of the 392 *précisions tarifaires* pertaining to products subject to a zero or positive nominal protection (as described in paragraph 16). The structural benchmarks (some of which will be converted into performance criteria during the first review) are: (a) the reduction by December 31, 1999 by CFAF 9 billion of the December 31, 1998 stock of statutory advances at the central bank (as described in paragraph 13); (b) implementation by December 31, 1999 of the reform of the national retirement fund (FNR) (as described in paragraph 19); (c) finalization by December 31, 1999 of the external audit of the *Fonds de Promotions Economique* (FPE) (as described in paragraph 19); (d) start of the operation by November 30, 1999 of the mostly privately owned company for urban transportation in Dakar (former SOTRAC) (as described in paragraph 26); (e) privatization by end-November 1999 of the cotton company SODEFITEX (as described in paragraph 26); (f) implementation before December 31, 1999 of the recommendations retained by the government from the World Bank FIAS's investors roadmap report (as described in paragraph 28); and (g) launching before December 31, 1999 of the capacity enhancing investments at the refinery SAR (as described in paragraph 30). Progress in the execution of the program and fulfilling the above-mentioned measures will be evaluated during the second review to be concluded by June 15, 2000.

Attachments:

Table 1: Quantitative and Structural Performance Criteria and Benchmarks for the First Annual Arrangement under the ESAF, 1998–2000

Table 2: Quantitative Performance Criteria and Benchmarks for the Second Annual ESAF Arrangement (1999–2000)

Table 3: Structural Performance Criteria and Structural Benchmarks for the Second Annual ESAF Arrangement (1999–2000)

Table 1. Senegal: Quantitative and Structural Performance Criteria and Benchmarks, 1998.

(in billions of CFA francs, end of period, unless otherwise indicated)

	1997		1998						
	End December	End March Actual	End June		End September		End December		
			Performance Criteria		Benchmarks		Benchmarks		
			Prog.	Actual	Prog.	Actual	Prog.	Rev. Prog.	Est.
(Cumulative from beginning of year)									
A. Performance criteria and benchmarks									
1. Overall basic budgetary balance ¹	67.8	17.6	22.1	44.1	28.6	52.4	36.9	36.7	71.9
2. Credit to central government (net) ²	187.3	195.7	229.0	201.1	233.2	192.3	235.3	195.7	181.1
3. Stock of central government domestic payments arrears ³	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
4. Stock of central government external payments arrears ³	2.7	0.0	0.0	3.8	0.0	0.0	0.0	0.0	0.0
5. New nonconcessional external borrowing ⁴									
a. With maturity of less than 12 years	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Of which: less than 1 year	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
b. With maturity of more than 12 years and a concessional element of 10-35 percent	0.0	0.0	0.0	0.0	0.0	5.0	0.0	5.0	5.0
B. Quantitative indicators									
1. Budgetary revenue	432.2	108.6	218.0	238.0	318.0	342.7	446.9	449.4	460.1
2. Wage bill	160.4	39.4	83.0	78.8	124.5	118.2	166.0	165.1	162.6
C. Structural performance criteria									
		<u>Date</u>	<u>Status</u>						
1. Completion and delivery to Fund staff of a study on the unification of VAT rates		End-July 1998	Observed						
2. Completion and delivery to Fund staff of a report on the economic and financial performance of the main public enterprises in 1996		End-July 1998	Observed						
D. Structural Benchmarks									
1. Establishment of quarterly indicators on the execution of the public investment program		End-August End-November 1998	Observed						
2. Preparation and delivery to Fund staff of a report on the outline of the government's new budget programming approach and action plan to improve preparation of the investment budget		End-July 1998	Observed						
3. Automatic adjustment of domestic petroleum product prices to reflect actual economic costs		July 1, 1998, October 1, 1998 and January 1, 1999	Observed						
4. Launching of bids for the privatization of SENELEC		End-August	Observed with a delay (October)						
5. Adoption of a plan to secure the long-term financial viability of the pension fund (<i>Fonds National de Retraites, FNR</i>)		End-December 1998	Delayed						
Memorandum item:									
Exceptional financial assistance ⁵	39.9	10.2	16.9	16.9	29.6	24.7	39.9	58.3	66.8

¹ Overall budget deficit excluding foreign-financed investment expenditure; budgetary revenue excludes privatization receipts which are treated as a financing item.² Excluding changes in the amount of securities issued against the consolidated public debt and held outside the Senegalese banking system.³ These performance criteria were monitored on a continuous basis.⁴ Based on the definition of concessionality approved by the Fund's Board of Directors on April 15, 1996.⁵ Defined as external budgetary assistance plus debt relief, excluding IMF resources

Table 2. Senegal: Quantitative and Structural Performance Criteria and Benchmarks, 1999-2000.

(In billions of CFA francs, end of period, unless otherwise indicated)

	December 31, 1998	March 31, 1999 prel.	June 30, 1999 Benchmark	September 30, 1999 Performance Criteria	December 31, 1999 Benchmark	March 31, 2000 Benchmark
(Cumulative from beginning of year)						
A. Performance criteria and benchmarks						
1. A floor on the overall basic budgetary balance ¹	71.9	20.2	40.6	37.1	49.9	22.4
2. A ceiling on credit to central government (net) ^{2,3}	181.1	203.9	153.8	174.7	136.1	129.0
3. Stock of central government domestic payments arrears	0.0	0.0	0.0	0.0	0.0	0.0
4. Stock of central government external payments arrears ⁴	0.0	0.0	0.0	0.0	0.0	0.0
5. New nonconcessional external borrowing contracted or guaranteed by the central government. ⁴						
a. With maturity of less than or equal to 12 years	0.0	0.0	0.0	0.0	0.0	0.0
Of which: less than 1 year	0.0	0.0	0.0	0.0	0.0	
b. With maturity of more than 12 years ⁵	5.0	0.0	0.0	8.0	8.0	0.0
B. Quantitative benchmarks						
1. A floor on budgetary revenue	460.1	113.7	259.4	371.7	502.1	124.0
2. A ceiling on the wage bill	162.6	41.0	83.6	125.5	170.0	42.9
Memorandum Item:						
Exceptional financial assistance ⁶	66.8	0.0	0.0	2.4	46.4	0.0

¹ Overall budget deficit excluding foreign-financed investment expenditure; budgetary revenue excludes privatization receipts which are treated as a financing item.² Excluding changes in the amount of securities issued against the consolidated public debt and held outside the Senegalese banking system.³ The ceiling will be adjusted downwards (or upwards) by the amount by which exceptional external assistance (excluding IMF resources) exceeds (or is below) the programmed amounts. The adjustment will be pari passu in case of an excess, but will be limited to CFAF 20 billion in the event of a shortfall in exceptional external resources.⁴ These performance criteria will be monitored on a continuous basis.⁵ The limit of CFAF 8 billion accommodates loans from the West African Development Bank (BOAD), see paragraph 39.⁶ Defined as external budgetary assistance plus debt relief, excluding IMF resources.

Table 3. Senegal: Structural Performance Criteria and Benchmarks for 1999–2000

Measures	Calendar
A. For September 30, 1999	
1. Performance criteria	
1. Completion and communication to Fund staff of a study on the factors accounting for the delays in spending regular budgetary allocations in the areas of education and health and an action plan to reverse this trend (as described in paragraph 14)	September 30, 1999
2. Elimination of 473 <i>précisions tarifaires</i> granting customs duty or VAT discounts or serving as identifiers (as described in paragraph 16)	September 30, 1999
3. Elimination of the variable levy on broken rice and the surtax on whole rice in order to streamline the taxation of rice imports (whole and broken rice) in line with WAEMU's supplementary protection mechanisms (as described in paragraph 16)	September 30, 1999
4. Submission to Parliament at its October 1999 session of a draft law amending the existing pension legislation (as described in paragraph 19)	September 30, 1999
5. Payment by SENELEC/SAR of the balance of all the arrears on account of fuel oil delivered (as described in paragraph 15)	September 30, 1999
6. Communication to the Fund staff of the draft 2000 budget law including replacement of the customs stamp duty by a 1 percent statistical tax, the incorporation of the enlarged definition of public investments, and revenue and expenditure measures needed to close a projected financing gap of CFAF 11.6 billion (as described in paragraph 16)	September 30, 1999
2. Structural benchmarks	
1. Bring the Hotel Meridien Président to the point of sale (as described in paragraph 26)	August 31, 1999
2. Communication to the Fund staff of an action plan based on the recommendations of the FIAS report (as described in paragraph 28)	September 30, 1999
3. Communication to the Fund staff of an action plan by the customs office to combat fraud, including the clearing up of the operations of the customs brokers, the fight against the illegal trade in narcotics, and a stringent control of preferential customs regimes (as described in paragraph 29).	September 30, 1999
B. For March 31, 2000	
1. Performance criterion	
1. Elimination of 392 <i>précisions tarifaires</i> pertaining to products subject to zero or positive nominal protection (as described in paragraph 16)	December 31, 1999
2. Structural Benchmarks	
1. The reduction by CFAF 9 billion in the year-end 1998 stock of statutory advances at the central bank (as described in paragraph 13)	December 31, 1999
2. Implementation of the reform of the national retirement fund (FNR) (as described in paragraph 19)	December 31, 1999
3. Finalization of the external audit of the Fonds de Promotion Economique (as described in paragraph 19)	December 31, 1999
4. Start the operation of the mostly privately owned company for urban transportation in Dakar (former SOTRAC) (as described in paragraph 26)	November 30, 1999
5. Privatize the cotton company SODEFITEX (as described in paragraph 26)	November 30, 1999
6. Implementation of the recommendations retained by the government from the World Bank FIAS's investors roadmap report (as described in paragraph 28)	December 31, 1999
7. Launching of the capacity enhancing investments at the refinery SAR (as described in paragraph 30)	December 31, 1999

Senegal: Relations with the Fund

(As of May 31, 1999)

I. **Membership Status:** Joined August 31, 1962; Article VIII as of June 1, 1996

II. General Resources Account:	<u>SDR Million</u>	<u>Percent of Quota</u>
Quota	161.80	100.0
Fund holdings of currency	160.45	99.2
Reserve position in the Fund	1.36	0.8

III. SDR Department:	<u>SDR Million</u>	<u>Percent of Allocation</u>
Net cumulative allocation	24.46	100.0
Holdings	4.83	19.8

IV. Outstanding Purchases and Loans:	<u>SDR Million</u>	<u>Percent of Quota</u>
Enhanced Structural Adjustment Facility Arrangements	196.25	121.3

V. Financial Arrangements:			<u>Amount Approved (SDR million)</u>	<u>Amount Drawn (SDR million)</u>
Type	<u>Approval Date</u>	<u>Expiration Date</u>		
ESAF	April 20, 1998	April 19, 2001	107.01	35.67
ESAF	August 29, 1994	January 12, 1998	130.79	130.79
Stand-By Arrangement	March 2, 1994	August 29, 1994	47.56	30.91
ESAF	November 21, 1988	June 2, 1992	144.67	144.67

VI. **Projected Obligations to the Fund** (SDR million; based on existing use of resources and present holdings of SDRs):

	<u>Overdue 05/31/99</u>	<u>Forthcoming</u>				
		<u>1999</u>	<u>2000</u>	<u>2001</u>	<u>2002</u>	<u>2003</u>
Principal	0.0	12.3	17.1	21.1	20.8	27.9
Charges/interest	0.0	1.3	1.5	1.4	1.3	1.2
Total	0.0	13.6	18.6	22.5	22.1	29.1

VII. Exchange Rate Arrangement

Senegal is a member of the West African Monetary Union (WAMU). The exchange system, common to all members of the union, is free of restrictions on the making of payments and transfers for current international transactions.¹ The union's common currency, the CFA franc, had been pegged to the French franc at the rate of CFAF 1 = F 0.02. Effective January 12, 1994, the CFA franc was devalued and the new parity set at CFAF 1 = F 0.01. Effective December 31, 1998, the parity was switched to the euro at a rate of CFAF 655.96 = *euro* 1. On June 8, 1999, the rate of the CFA franc in terms of the SDR was SDR 1 = CFAF 846.38.

VIII. Article IV Consultations

Senegal is on the standard 12-month Article IV consultation cycle. The 1998 Article IV consultation was completed by the Executive Board on November 25, 1998 (EBS/98/188; 11/11/98, and SM/98/256; 11/17/98).

IX. Technical Assistance

Department	Type of Assistance	Time of Delivery	Purpose
FAD	Headquarters-based consultant	December 1993	Harmonization of indirect taxation in the WAMU
FAD	Staff	November-December 1994	Advising on social safety net issues
FAD	Staff	February-March 1996	Strengthening of tax and customs administration
FAD	Staff/consultants	January-February 1998	Assessment of revenue impact of new external tariff structure (CET). Advise authorities on measures to correct revenue shortfall stemming from the introduction of CET.
FAD	Staff/consultants	March 1999	Assessment of the reforms to VAT required to offset the fiscal impact of the CET.

X. Resident Representative

Stationed in Dakar since July 24, 1984.

XI. Fourth Amendment of the Articles of Agreement and the Eleventh Quota Review

The authorities have indicated their agreement with the fourth amendment of the articles of agreement. The increase in Senegal's quota under the eleventh quota review was completed on February 11, 1999.

¹The staff is keeping under active review all developments in Senegal's exchange system that may involve Fund jurisdiction.

Senegal: Relations with the World Bank Group

(As of May 31, 1999)

Commentary on lending operations

1. The overarching objective of the Bank's assistance strategy for Senegal is to reduce the incidence of poverty and create gainful employment, especially for youth. The approved lending program for the period fiscal year (FY) 1998–2000 under the Country Assistance Strategy (CAS) is almost double the actual FY 1995–97 level; it aims at deepening the structural reforms under way. Achievement of the poverty-reduction objective will be supported by a two-pronged strategy: (a) supporting policies and programs for more rapid and sustained growth; and (b) ensuring the social sustainability of programs. This strategy will be implemented through a combination of structural adjustment lending (energy sector reform and trade liberalization), the sector investment program (SIP), specific investment lending, and appropriate onlending operations. Analytical work on the transitional costs of trade reform, currently under way, is expected to lead to the preparation of the trade reform adjustment credit planned for fiscal year FY 2000. The ongoing public expenditure review is helping the government improve the composition and efficiency of public expenditures for the period 1998–2000.

2. As of December 31, 1998, the World Bank had approved 114 operations in Senegal for a total amount, less cancellations, of US\$1,872.1 million, consisting of 91 IDA credits (including three Special Fund credits and two Special Facility credits for Africa) for US\$1,742.8 million, and 23 IBRD loans for US\$129.3 million. Past projects have supported agricultural diversification, irrigation, human resources development, institutional development, and expansion of the country's infrastructure, particularly its transport system. In recent years, emphasis has shifted to utilizing and maintaining existing facilities better, and to helping the government resolve some of the key issues related to long-term development prospects. The current portfolio represents a commitment value of about US\$682.2 million, with undisbursed balance to about US\$454.1 million. The portfolio is composed of 18 operations, involving the agriculture sector, human resources (population/health/nutrition/education), infrastructure/urban development, energy, and private sector development. Two projects were approved in FY 1999: an agriculture sector project (agricultural services and producers organizations) and a transport project (second transport sector adjustment).

3. As of May 31, 1999, the International Financial Corporation (IFC) had six investments totaling about US\$30.3 million. The IFC's current portfolio includes two financial services (Banque de l'habitat du Sénégal and Société générale de crédits automobiles); one fertilizer operation (Industrie chimiques du Sénégal); one leather-manufacturing operation (Sénégal tannerie); and one power project (the first independent power project in Senegal). Two further investments in power and mining, totaling US\$7.23 million, were approved in FY 1998.

4. The Bank and the IFC will continue to work closely and coordinate their respective roles in providing an enabling environment for private sector development in Senegal. The Bank will concentrate on factors that improve the business environment, and the IFC, helped by the opening of its office in Dakar in February 1997, will increase its direct support to the private sector, especially in power, mining, privatization and the development of a capital market.

Status of Bank Group Operations in Senegal
(as of May 31, 1999)

IBRD and IDA
(Original amount in millions of U.S. dollars)

			IBRD	IDA	Cancellation IBRD IDA	Undisbursed
72 projects closed:			162.95	1112.67	33.62 51.22	0.7
Active projects						
Project ID	Year	Purpose				
SN-PE-2327	1989	Small Rural Ops III	0.00	16.10	0.00	3.7
SN-PE-2342	1991	Transport Sec. Secal	0.00	68.73	3.73	6.6
SN-PE-2357	1993	Human Res. Dev. II	0.00	40.00	0.00	7.3
SN-PE-35615	1995	Comm. Nutrition	0.00	18.20	0.00	5.9
SN-PE-2376	1995	Priv. Sectr. Cap. Bldg.	0.00	12.50	0.00	5.8
SN-PE-2346	1995	Water Sector	0.00	100.00	0.00	59.2
SN-PE-35621	1996	Pilot Female Lit 0.00	12.60	0.00	7.46	6.4
SN-PE-2373	1996	Higher Educ. I	0.00	26.50	0.00	16.9
SN-PE-46768	1997	Sust. Engy. Mgmt.	0.00	5.20	0.00	4.7
SN-PE-44383	1997	Urban Trans. Ref. TA	0.00	6.60	0.00	5.0
SN-PE-41567	1997	Endemic Diseases	0.00	14.90	0.00	13.5
SN-PE-46648	1997	Regional Power 0.00	10.50	0.00	8.89	7.9
SN-PE-51610	1998	Ag. Export Prom.	0.00	8.00	0.00	7.4
SN-PE-2369	1998	Integ. Health S. Dev	0.00	50.00	0.00	43.8
SN-PE-51357	1998	Energy Sector Adj.	0.00	100.00	0.00	75.2
SN-PE- 2365	1998	Urban Dev. & Decen.	0.00	75.00	0.00	70.4
SN-PE-2367	1999	Ag. Svcs & Prod. Orgs.	0.00	27.90	0.00	27.4
SN-PE-2366	1999	Transport II	0.00	90.00	0.00	87.1
Total of active projects			0.00	682.23	3.73	454.1
			Active Projects		Closed Projects	Total
Total Disbursed (IBRD and IDA)			208.16		1,239.81	1,448.26
Of which: repaid			0.17		182.66	191.88
Total now held by IBRD and IDA			678.33		1,006.16	1,567.26
Amount sold			0.00		5.46	5.46
Of which: repaid			0.00		5.46	5.46
Total Undisbursed			454.1		0.00	454.1

Senegal
IFC: Committed and Disbursed Portfolio
(in millions of U.S. dollars)
(as of May 31, 1999)

FY Approval	Company	Committed				Disbursed			
		Loan	Equity	Quasi	Partic	Loan	Equity	Quasi	Partic
1980	BHS	0.00	0.46	0.00	0.00	0.00	0.46	0.00	0.00
1981/88	ICS	1.20	0.00	0.00	0.00	1.20	0.00	0.00	0.00
1994/96	SOGECA	0.00	0.33	0.00	0.00	0.00	0.28	0.00	0.00
1996/7/8	AEF SERT	0.80	0.43	0.00	0.00	0.80	0.43	0.00	0.00
1997	GTI-DAKAR	13.76	1.58	0.00	12.42	5.49	0.38	0.00	6.62
1998	SEF SENTA	0.38	0.00	0.00	0.00	0.38	0.00	0.00	0.00
Total Portfolio		16.14	2.80	0.00	11.43	7.43	1.55	0.00	6.10

Approvals pending commitment:

		Loan	Equity	Quasi	Partic
1998	GTI-DAKAR	3.11	0.22	0.00	0.00
1998	TOLSA-THIES	3.00	0.90	0.00	0.00
Total pending commitment		6.11	1.12	0.00	0.00

Notes: BHS = Banque de l'Habitat du Senegal (financial sector); SOGECA = Société générale de crédit automobile (financial); SERT = Société d'exploitation des ressources thonnières (fishery); SOEX = Société d'exportateurs; ICS = Industries chimiques du Sénégal (chemical); AEF = Africa Enterprise Fund; SEF SENTA = Small Enterprise Fund for Sénégal tanneries (leather); and GTI-DAKAR = Power project.